

Canada Bread Company, Limited

Financial Statements

For the Year Ended
December 31, 2013

Independent Auditors' Report

To the Shareholders of Canada Bread Company, Limited:

We have audited the accompanying consolidated financial statements of Canada Bread Company, Limited, which are comprised of the consolidated balance sheets as at December 31, 2013, December 31, 2012, and January 1, 2012, the consolidated statements of earnings, comprehensive income (loss), changes in shareholders' equity and cash flows for the years then ended, and notes comprising of a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audits. We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained in our audits is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of Canada Bread Company, Limited as at December 31, 2013, December 31, 2012, and January 1, 2012, and its consolidated financial performance and its consolidated cash flows for the years then ended December 31, 2013, and December 31, 2012, in accordance with International Financial Reporting Standards.

KPMG LLP

Chartered Professional Accountants, Licensed Public Accountants
Toronto, Canada

February 26, 2014

Consolidated Balance Sheets

(In thousands of Canadian dollars)	**As at December 31, 2013**	As at December 31, 2012	As at January 1, 2012
		(Restated) (Note 28)	*(Restated) (Note 28)*
ASSETS			
Current assets			
Cash and cash equivalents	**$ 325,062**	$ 90,415	$ 59,223
Accounts receivable *(Note 4)*	**38,480**	50,465	56,522
Notes receivable *(Note 22)*	**35,982**	43,033	52,587
Inventories *(Note 5)*	**52,371**	62,766	60,048
Income taxes recoverable	**4,725**	–	2,162
Prepaid expenses and other assets	**3,579**	4,972	5,218
Assets held for sale *(Note 6)*	**4,372**	–	–
	$ 464,571	$ 251,651	$ 235,760
Property and equipment *(Note 7)*	**372,542**	410,479	425,944
Investment property *(Note 8)*	**9,634**	9,103	8,415
Other long-term assets	**4,435**	4,994	4,456
Deferred tax asset *(Note 19)*	**9,218**	17,874	17,917
Goodwill *(Note 10)*	**268,444**	264,243	266,013
Intangible assets *(Note 11)*	**9,804**	11,647	12,710
Total assets	**$ 1,138,648**	$ 969,991	$ 971,215
LIABILITIES AND EQUITY			
Current liabilities			
Bank indebtedness *(Note 13)*	**$ 4,408**	$ –	$ 3,153
Accounts payable and accruals	**204,422**	169,431	192,551
Provisions *(Note 12)*	**7,375**	9,928	23,066
Dividends payable *(Note 16)*	**216,042**	12,708	5,083
Income taxes payable	**–**	2,008	–
Current portion of long-term debt *(Note 13)*	**568**	358	2,452
Due to Maple Leaf Foods Inc. *(Note 24)*	**4,036**	4,830	2,451
Other current liabilities	**100**	–	–
	$ 436,951	$ 199,263	$ 228,756
Long-term debt *(Note 13)*	**2,357**	2,921	1,634
Deferred tax liability *(Note 19)*	**36,954**	19,998	21,784
Employee benefits *(Note 9)*	**32,547**	56,011	50,434
Other long-term liabilities	**1,876**	–	–
Provisions *(Note 12)*	**5,630**	6,277	5,005
Total liabilities	**$ 516,315**	$ 284,470	$ 307,613
Shareholders' equity			
Share capital *(Note 14)*	**$ 142,965**	$ 142,965	$ 142,965
Retained earnings	**477,002**	555,322	530,852
Accumulated other comprehensive gain (loss) *(Note 14)*	**2,366**	(12,766)	(10,215)
Total shareholders' equity	**$ 622,333**	$ 685,521	$ 663,602
Total liabilities and shareholders' equity	**$ 1,138,648**	$ 969,991	$ 971,215

Contingencies and commitments *(Note 23)*

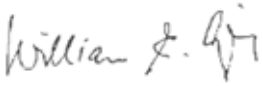
Subsequent events *(Note 27)*

See accompanying Notes to the Consolidated Financial Statements

On behalf of the Board:



RICHARD A. LAN
DIRECTOR



BILL AZIZ
DIRECTOR

Consolidated Statements of Earnings

Years ended December 31, *(In thousands of Canadian dollars, except share amounts)*	**2013**	2012 *(Restated) (Note 20, 28)*
Sales	**$ 1,453,586**	$ 1,479,243
Cost of goods sold	**1,148,633**	1,178,478
Gross margin	**$ 304,953**	$ 300,765
Selling, general, and administrative expenses	**177,836**	183,073
Earnings before the following:	**$ 127,117**	$ 117,692
Restructuring and other related costs *(Note 15)*	**(17,953)**	(11,073)
Other income *(Note 17)*	**6,254**	1,635
Earnings before interest and income taxes from continuing operations	**$ 115,418**	$ 108,254
Interest expense *(Note 18)*	**970**	1,562
Earnings before income taxes from continuing operations	**$ 114,448**	$ 106,692
Income taxes *(Note 19)*	**29,405**	31,178
Net earnings from continuing operations	**$ 85,043**	$ 75,514
Net earnings (loss) and gain on disposal of discontinued operations *(Note 20)*	**72,513**	(4,034)
Net earnings	**$ 157,556**	$ 71,480
Earnings per share attributable to common shareholders *(Note 21)*		
Basic and diluted earnings per share	**$ 6.20**	$ 2.81
Basic and diluted earnings per share from continuing operations	**$ 3.35**	$ 2.97
Weighted average number of shares (millions)	**25.4**	25.4

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Comprehensive Income (Loss)

Years ended December 31, *(In thousands of Canadian dollars)*	**2013**	2012 *(Restated)* *(Note 20, 28)*
Net earnings	**$ 157,556**	$ 71,480
Other comprehensive income (loss)		
Item that will not be reclassified to profit or loss:		
Change in actuarial gains and losses	**18,292**	(3,812)
Total item that will not be reclassified to profit or loss	**18,292**	(3,812)
Items that are or may be reclassified subsequently to profit or loss:		
Change in accumulated foreign currency translation adjustment	**14,838**	(1,980)
Change in unrealized gains and losses on cash flow hedges	**294**	(571)
Total items that are or may be reclassified subsequently to profit or loss	**$ 15,132**	$ (2,551)
	$ 33,424	$ (6,363)
Comprehensive income	**$ 190,980**	$ 65,117

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Changes in Shareholders' Equity

(In thousands of Canadian dollars)	**Share capital**	**Retained earnings**	**Total accumulated other comprehensive (loss) income**	**Total shareholders' equity**
Balance at December 31, 2012				
(Restated) *(Note 28)*	**$ 142,965**	**$ 555,322**	**$ (12,766)**	**$ 685,521**
Net earnings	**–**	**157,556**	**–**	**157,556**
Other comprehensive income	**–**	**18,292**	**15,132**	**33,424**
Dividends declared ($10.00 per share) *(Note 16)*	**–**	**(254,168)**	**–**	**(254,168)**
Balance at December 31, 2013	**$ 142,965**	**$ 477,002**	**$ 2,366**	**$ 622,333**

	Share capital	Retained earnings	Total accumulated other comprehensive loss	Total shareholders' equity
Balance at January 1, 2012				
(Restated) (Note 28)	$ 142,965	$ 530,852	$ (10,215)	$ 663,602
Net earnings	–	71,480	–	71,480
Other comprehensive loss	–	(3,812)	(2,551)	(6,363)
Dividends declared ($1.70 per share)	–	(43,198)	–	(43,198)
Balance at December 31, 2012				
(Restated) (Note 28)	$ 142,965	$ 555,322	$ (12,766)	$ 685,521

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Cash Flows

Years ended December 31, *(In thousands of Canadian dollars)*	**2013**	2012 *(Restated) (Note 28)*
CASH PROVIDED BY (USED IN):		
Operating activities		
Net earnings	**$ 157,556**	$ 71,480
Add (deduct) items not affecting cash:		
Depreciation and amortization	**52,169**	49,525
Deferred income taxes	**18,560**	1,180
Income tax current	**21,797**	28,603
Interest expense	**970**	1,547
Gain on sale of long-lived assets	**(1,806)**	(478)
Gain on sale of investment properties	**(11,433)**	–
Gain on sale of business *(Note 20)*	**(84,042)**	–
Impairment of assets	**5,624**	–
Increase in pension liability	**1,268**	369
Net income taxes paid	**(31,043)**	(24,265)
Interest paid	**(255)**	(1,533)
Change in provision for restructuring and other related costs	**(1,780)**	(6,772)
Other	**1,147**	903
Change in non-cash operating working capital	**60,244**	(11,452)
Cash provided by operating activities	**$ 188,976**	$ 109,107
Financing activities		
Dividends paid	**$ (50,834)**	$ (35,573)
Repayment of long-term debt	**(311)**	(921)
Cash used in financing activities	**$ (51,145)**	$ (36,494)
Investing activities		
Additions to long-term assets	**$ (42,979)**	$ (44,537)
Capitalization of interest expense to long-term assets	**(323)**	–
Proceeds from sale of long-term assets	**7,076**	6,269
Proceeds from sale of investment properties	**12,365**	–
Proceeds from sale of business	**116,269**	–
Cash provided by (used in) investing activities	**$ 92,408**	$ (38,268)
Increase in cash and cash equivalents	**$ 230,239**	$ 34,345
Net cash and cash equivalents, beginning of period	**90,415**	56,070
Net cash and cash equivalents, end of period	**$ 320,654**	$ 90,415
Net cash and cash equivalents is comprised of:		
Cash and cash equivalents	**$ 325,062**	$ 90,415
Bank indebtedness	**(4,408)**	–
Net cash and cash equivalents, end of period	**$ 320,654**	$ 90,415

See accompanying Notes to the Consolidated Financial Statements

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the baking industry across North America and internationally. Its principal business is the manufacturing and sale of bakery and pasta products, including fresh bread, rolls, bagels, and par-baked bread. The address of the Company's registered office is 10 Four Seasons Place, Etobicoke, Ontario, M9B 6H7, Canada. The consolidated financial statements of the Company as at and for the year ended December 31, 2013, include the accounts of the Company and its subsidiaries. Canada Bread is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf"). The principal activities and the composition of the Company are further described in Note 22.

2. BASIS OF PREPARATION

(a) Statement of Compliance

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards ("IFRS") as issued by the International Accounting Standards Board ("IASB") and using the accounting policies described herein.

The consolidated financial statements were authorized for issue by the Board of Directors on February 26, 2014.

(b) Basis of Measurement

The consolidated financial statements have been prepared on the historical cost basis, except for certain financial instruments, defined benefit plan assets, and liabilities associated with certain stock-based compensation, that are stated at fair value. Liabilities associated with employee benefits are stated at actuarially determined present values.

(c) Functional and Presentation Currency

The consolidated financial statements are presented in Canadian dollars, which is the Company's functional currency.

(d) Use of Estimates and Judgements

The preparation of consolidated financial statements in accordance with IFRS requires Management to make judgements, estimates, and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income, and expenses. Actual amounts may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Judgements included in the financial statements are decisions made by Management, based on an analysis of relevant information available at the time the decision is made. Judgements relate to application of accounting policies and decisions related to the measurement, recognition, and disclosure of financial amounts.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are included both below and in the statement notes relating to items subject to significant estimation uncertainty and critical judgements.

Long-Lived Assets Valuation

The Company performs impairment testing annually for goodwill and intangible assets, and when circumstances indicate that there may be impairment, for other long-lived assets. Management judgement is involved in determining if there are circumstances indicating that testing for impairment is required, and in identifying their Cash Generating Units ("CGUs") for the purpose of impairment testing.

The Company assesses impairment by comparing the recoverable amount of a long-lived asset, CGU, or CGU group to its carrying value. The recoverable amount is defined as the higher of (i) value in use; or (ii) fair value less cost to sell. The determination of the recoverable amount involves Management judgement and estimation.

The values associated with intangible assets and goodwill involve significant estimates and assumptions, including those with respect to future cash inflows and outflows, discount rates, and asset lives. These estimates and assumptions could affect the Company's future results if the current estimates of future performance and fair values change. These determinations will affect the amount of amortization expense on definite life intangible assets recognized in future periods.

Measurement of Fair Values

A number of the Company's accounting policies and disclosure require the measurement of fair values, for both financial and non-financial assets and liabilities. When the measurement of fair values cannot be determined based on quoted prices in active markets, fair value is measured using valuation techniques and models. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Changes in assumptions about these inputs to these models could affect the reported fair value of the Company's financial and non-financial assets and liabilities.

When measuring fair value of an asset or liability, the Company uses market observable data as far as possible. To the extent that these estimates differ from those realized, the measured asset or liability, net earnings, and/or comprehensive income (loss) will be affected in future periods.

Information about the valuation techniques and inputs used in determining the fair value of various assets and liabilities are disclosed in Notes 8, 9, and 16.

Nature of Interests in Other Entities

Management applies significant judgement in assessing the nature of its interest in an unconsolidated structured entity. The Company does not hold any equity interest in the structured entity and based on the terms of the agreements under which the entity is established, the Company receives none of the returns related to their operations and is exposed to limited recourse with respect to losses.

Further information about the unconsolidated structured entity is disclosed in Note 22.

Valuation of Inventory

Management makes estimates of the future customer demand for products when establishing appropriate provisions for inventory. In making these estimates, Management considers product life of inventory and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory on-hand values are low, thus reducing the risk of material misstatement. However, in the fresh business, code or "best before" dates are very important in the determination of realizable value of inventory. Management ensures that systems are in place to highlight and properly value inventory that may be approaching code dates. To the extent that actual losses on inventory differ from those estimated, inventory, net earnings, and comprehensive income (loss) will be affected in future periods.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts that often include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities include the projected level of sales volume for the relevant period and customer contracted rates for allowances, discounts, and rebates. These arrangements are complex and there are a significant number of customers and products affected. Management has systems and processes in place to estimate and value these obligations. To the extent that payments on trade discounts differ from estimates of the related liability, accrued liabilities, net earnings, and comprehensive income (loss) will be affected in future periods.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and Management's best estimate of salary escalation and mortality rates. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities and service costs. Management employs external experts to advise the Company when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses. To the extent that these estimates differ from those realized, employee benefit liabilities and comprehensive income (loss) will be affected in future periods.

Income Taxes

Provisions for income taxes are based on domestic and international statutory income tax rates and the amount of income earned in the jurisdictions in which the Company operates. Significant judgement is required in determining income tax provisions and the recoverability of deferred tax assets. The calculation of current and deferred income tax balances requires Management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the Company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite Management's opinion that the Company's tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances. To

the extent that these adjustments differ from original estimates, future deferred tax assets and liabilities, net earnings, and comprehensive income (loss) will be affected.

Provisions

The Company evaluates all provisions at each reporting date. These provisions can be significant and are prepared using estimates of the costs of future activities. In certain instances, Management may determine that these provisions are no longer required or that certain provisions are insufficient as new events occur or as additional information is obtained. These provisions are separately identified and disclosed in the Company's consolidated financial statements. Changes to these estimates may affect the value of provisions, net earnings, and comprehensive income (loss) in future periods.

Depreciation and Amortization

The Company's property and equipment and definite life intangible assets are depreciated and amortized on a straight-line basis, taking into account the estimated useful lives of the assets and residual values. Changes to these estimates may affect the future carrying value of these assets, net earnings, and comprehensive income (loss) in future periods.

3. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements.

(a) Principles of Consolidation

These consolidated financial statements include the accounts of the Company and its subsidiaries from the date that control commences until the date that control ceases. Control exists when the Company is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

All intercompany accounts and transactions have been eliminated on consolidation.

(b) Fair Value Measurements

The Company measures certain financial and non-financial assets and liabilities at fair value at each balance sheet date. In addition, fair value measurements are disclosed for certain financial and non-financial assets and liabilities.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. In estimating the fair value of an asset and a liability, the Company takes into account the characteristics of the asset or liability if market participants would take those characteristics into account when pricing the asset or liability at the measurement date. Fair value for measurement and disclosure purposes is determined on such a basis, except for share-based payment transactions, leasing transactions, and measurements that have some similarities to fair value but are not fair value, such as net realizable value or value in use.

Assets and liabilities for which fair value is measured or disclosed in the financial statements are classified using a three-level fair value hierarchy that reflects the significance and transparency of the inputs used in making the fair value measurements. Each level is based on the following:

Level 1 – inputs are unadjusted quoted prices of identical assets or liabilities in active markets

Level 2 – inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly or indirectly

Level 3 – one or more significant inputs used in a valuation technique are unobservable in determining fair values of the asset or liability

Determination of fair value and the resulting hierarchy requires the use of observable market data whenever available. The classification of an asset or liability in the hierarchy is based upon the lowest level of input that is significant to the measurement of fair value.

(c) Non-current Assets (or Disposal Groups) Held for Sale and Discontinued Operations

The Company classifies non-current assets and disposal groups as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than continuing use. The criteria for held for sale classification is regarded as met when a sale is highly probable, the asset or disposal group is available for immediate sale in its present condition, and management is committed to the sale, which is expected to be completed within one year from the date of classification. Non-current assets and disposal groups classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets are not depreciated once classified as held for sale.

A discontinued operation is a component of the Company's business, which can be clearly distinguished from the rest of the Company both operationally and for financial reporting purposes. Classification as a discontinued operation occurs at the earlier of disposal or when the operation meets the criteria to be classified

as held for sale. When an operation is classified as a discontinued operation, the comparative statements of earnings and comprehensive income are re-presented as if the operation has been discontinued from the start of the comparative year. Discontinued operations are excluded from the results of continuing operations and are presented as a single amount net of tax as net earnings from discontinued operations in the statement of earnings.

(d) Translation of Foreign Currencies

The accounts of the Company are presented in Canadian dollars. Transactions in foreign currencies are translated at the actual rates of exchange. Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to the Canadian dollar at the exchange rate for that date. Foreign exchange differences arising on translation are recognized in net earnings, except for financial assets and liabilities designated as hedges of the net investment in foreign operations or qualifying cash flow hedges, which are recognized in other comprehensive income. Non-monetary assets and liabilities that are measured at historical cost are translated using the exchange rate at the date of the transaction.

The financial statements of foreign subsidiaries whose functional currency is not the Canadian dollar are translated into Canadian dollars using the exchange rate in effect at the period-end for assets and liabilities, and the average exchange rates for the period for revenue, expenses, and cash flows. Foreign exchange differences arising on translation are recognized in accumulated other comprehensive income in shareholders' equity.

When a foreign operation is disposed of in its entirety or partially such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. If the Company disposes of part of its interest in a subsidiary but retains control, then the relevant proportion of the cumulative amount is reattributed to non-controlling interest. When the Company disposes of only part of an associate or joint venture while retaining significant influence or joint control, the relevant proportion of the cumulative amount is reclassified to profit or loss.

Foreign exchange gains and losses arising from a receivable or payable to a foreign operation, the settlement of which is neither planned nor likely to occur in the foreseeable future and which in substance is considered to form part of the net investment in the foreign operations, are recognized in other comprehensive income in the cumulate foreign currency translation differences.

(e) Financial Instruments

The Company's financial assets and financial liabilities, upon initial recognition, are measured at fair value and are classified as: (i) held for trading; (ii) loans and receivables; or (iii) other financial liabilities. The classification depends on the purpose for which the financial instruments were acquired and their characteristics. Held for trading is the required classification for all derivative financial instruments unless they are specifically designated within an effective hedge relationship. Held for trading financial instruments not designated within an effective hedging relationship are measured at fair value with changes in fair value recognized in consolidated statements of earnings in the period in which such changes arise. Loans and receivables and other financial liabilities are initially recorded at fair value and are subsequently measured at amortized cost.

Financial assets are assessed at each reporting date to determine whether there is any objective evidence of impairment. A financial asset is considered to be impaired if objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of that asset, with impairment losses recognized in the consolidated statements of earnings. If, in a subsequent period, the impairment loss decreases, the previously recognized impairment is reversed to the extent of the impairment.

Transaction costs, other than those related to financial instruments classified as fair value through profit or loss, which are expensed as incurred, are capitalized to the carrying amount of the instrument and amortized using the effective interest method.

(f) Hedge Accounting

The Company uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in interest rates, foreign exchange rates, and commodity prices.

At the inception of a hedging relationship, the Company designates and formally documents the relationship between the hedging instrument and the hedged item, the risk management objective, and its strategy for undertaking the hedge. The documentation identifies the specific asset, liability, or anticipated cash flows being hedged, the risk that is being hedged, the type of hedging instrument used, and how effectiveness will be assessed.

The Company also formally assesses both at inception and at least quarterly thereafter, whether or not the derivatives that are used in hedging transactions are highly effective in offsetting the changes attributable to the hedged risks in the fair values or cash flows of the hedged items. If a hedge relationship becomes

ineffective, it no longer qualifies for hedge accounting and any subsequent change in the fair value of the hedging instrument is recognized in net earnings (loss).

When hedge accounting is appropriate, the hedging relationship is designated as a cash flow hedge, a fair value hedge, or a hedge of foreign currency exposure of a net investment in a self-sustaining foreign operation. In a cash flow hedge, the change in fair value of the hedging instrument is recorded, to the extent it is effective, in other comprehensive income (loss) until the hedged item affects net earnings. In a fair value hedge, the change in fair value of the hedging derivative is offset in the consolidated statements of earnings by the change in fair value of the hedged item relating to the hedged risk.

In a net investment hedge, the change in fair value of the hedging instrument is recorded, to the extent effective, directly in other comprehensive income (loss). These amounts are recognized in earnings when the corresponding accumulated other comprehensive income (loss) from self-sustaining foreign operations is recognized in net earnings (loss).

Hedge ineffectiveness is measured and recorded in current period earnings in the consolidated statements of earnings. When either a fair value hedge or cash flow hedge is discontinued, any cumulative adjustment to either the hedged item or other comprehensive income (loss) is recognized in net earnings as the hedged item affects net earnings (loss), or when the hedged item is derecognized. If a designated hedge is no longer effective, the associated derivative instrument is subsequently carried at fair value through net earnings (loss) without any offset from the hedged item.

Derivatives that do not qualify for hedge accounting are carried at fair value and changes in their fair value are recorded through the net earnings (loss).

(g) Cash and Cash Equivalents

Cash and cash equivalents are comprised of cash balances, demand deposits, and investments with an original maturity at the date of purchase of three months or less.

(h) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. The cost of inventory includes direct product costs, direct labour, and an allocation of variable and fixed manufacturing overhead, including depreciation. When circumstances that previously caused inventories to be written down below cost no longer exist or when there is clear evidence of an increase in the net realizable value, the amount of a write-down previously recorded is reversed through cost of goods sold.

(i) Impairment or Disposal of Long-Lived Assets

The Company reviews long-lived assets or asset groups held and used, including property and equipment and intangible assets subject to amortization, for recoverability whenever events or changes in circumstances indicate that their carrying amount may not be recoverable. Asset groups referred to as CGUs include an allocation of corporate assets and are reviewed at their lowest level for which identifiable cash inflows are largely independent of cash inflows of other assets or groups of assets. The recoverable amount is the greater of its value in use and its fair value less cost to sell.

Value in use is based on estimates of discounted future cash flows expected to be recovered from a CGU through its use. Management develops its cash flow projections based on past performance and its expectations of future market and business developments. Once calculated, the estimated future pre-tax cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Fair value less cost to sell is the amount obtainable from the sale of an asset or CGU in an arm's length transaction between knowledgeable, willing parties, less the costs of disposal. Costs of disposal are incremental costs directly attributable to the disposal of an asset or CGU, excluding finance costs and income tax expense.

An impairment loss is recognized in the consolidated statements of earnings when the carrying amount of any asset or its CGU exceeds its estimated recoverable amount. Impairment losses recognized in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the CGU, and then to reduce the carrying amount of the other assets in the CGU on a pro rata basis.

Impairment losses related to long-lived assets recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation and amortization, if no previous impairment loss had been recognized.

(j) Property and Equipment

Property and equipment, with the exception of land, is recorded at cost less accumulated depreciation and any accumulated impairment losses. Land is carried at cost and not depreciated. For qualifying assets, cost includes

interest capitalized during the construction or development period. Construction-in-process assets are capitalized during construction and depreciation commences when the asset is available for use. Depreciation related to assets used in production is recorded in inventory and cost of goods sold. Depreciation related to non-production assets is recorded through selling, general, and administrative expense, and calculated on a straight-line basis, after taking into account residual values, over the following expected useful lives of the assets:

Buildings, including other components	15-40 years
Machinery and equipment	3-10 years

When parts of an item of property and equipment have different useful lives, those components are accounted for as separate items of property and equipment.

(k) Investment Property

Investment properties are properties owned by the Company that are held to either earn rental income or for capital appreciation; or both. The Company's investment properties include land and buildings.

Investment properties are recorded at cost less accumulated depreciation and any accumulated impairment losses, with the exception of land, which is recorded at cost less any accumulated impairment losses. The depreciation policies for investment properties are consistent with those for buildings.

(l) Goodwill and Intangible Assets

Goodwill

Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to identifiable assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the group of CGUs that are expected to benefit from the synergies of the business combination, but no lower than the level in the Company at which goodwill is monitored for internal management purposes.

Goodwill is not amortized and is tested for impairment annually in October and otherwise as required if events occur that indicate that its carrying amount may not be recoverable. Impairment of goodwill is tested at the CGU group level by comparing the carrying amount to its recoverable amount, consistent with the methodology applied in Note 3(i).

Intangible Assets

Intangible assets include brands, trademarks, delivery routes, and customer relationships. Definite life intangible assets are measured at cost less accumulated amortization and any net accumulated impairment losses. Amortization is recognized in the consolidated statements of earnings on a straight-line basis over their estimated useful lives as follows:

Trademarks	10 years
Customer relationships	20-25 years

Indefinite life intangibles are tested for impairment annually in October and otherwise as required if events occur that indicate that the carrying value may not be recoverable.

Upon recognition of an intangible asset, the Company determines if the asset has a definite or indefinite life. In making this determination, the Company considers the expected use, expiry of agreements, the nature of the asset, and whether the value of the asset decreases over time.

(m) Employee Benefit Plans

The Company provides post-employment benefits through defined benefit and defined contribution plans.

Defined Benefit Plans

The Company accrues obligations and costs in respect of employee defined benefit plans. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and Management's best estimate of salary escalation, retirement ages of employees, mortality rates, and expected health care costs. Changes in these assumptions could affect future pension expense. The fair value of plan assets is used as the basis for calculating the expected return on plan assets. The discount rate used to value the defined benefit obligation is based on high quality corporate bonds in the same currency in which the benefits are expected to be paid and with terms to maturity that, on average, match the terms of the defined benefit obligations.

Actuarial gains and losses due to changes in defined benefit plan assets and obligations are recognized immediately in accumulated other comprehensive income (loss). When a restructuring of a benefit plan gives rise to both curtailment and settlement of obligations, the curtailment is accounted for prior to or in conjunction with the settlement.

When the calculation results in a net benefit asset, the recognized asset is limited to the total of any unrecognized past service costs and the present value of economic benefits available in the form of future refunds from the plan or reductions in future contributions to the plan (the "asset ceiling"). In order to calculate the present value of economic benefits, consideration is

given to minimum funding requirements that apply to the plan. Where it is anticipated that the Company will not be able to recover the value of the net defined benefit asset, after considering minimum funding requirements for future services, the net defined benefit asset is reduced to the amount of the asset ceiling. The impact of the asset ceiling is recognized in comprehensive income (loss).

When the future payment of minimum funding requirements related to past service would result in a net defined benefit asset ("surplus") or an increase in a surplus, the minimum funding requirements are recognized as a liability, to the extent that the surplus would not be fully available as a refund or a reduction in future contributions. Re-measurement of this liability is recognized in other comprehensive income (loss) in the period in which the re-measurement occurs.

Defined Contribution Plans

The Company's obligations for contributions to employee defined contribution pension plans are recognized in the consolidated statement of earnings in the periods during which services are rendered by employees.

Multi-Employer Plans

The Company participates in multi-employer pension plans which are accounted for as defined contribution plans. The Company does not administer these plans, but rather the administration and investment of these assets are controlled by boards of trustees consisting of union and employer representatives. The Company's responsibility to make contributions to these plans is established pursuant to its collective agreements. The contributions made by the Company to multi-employer plans are expensed when due.

(n) Provisions

Provisions are liabilities of the Company for which the amount and/or timing of settlement is uncertain. A provision is recognized in the consolidated financial statements when the Company has a present legal or constructive obligation as a result of a past event, and it is probable that an outflow of economic benefits will be required to settle the obligation. If the effect is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, when appropriate, the risks specific to the liability.

(o) Revenue Recognition

The majority of the Company's revenue is derived from the sale of product to retail and foodservice customers. The Company recognizes revenue from product sales at the fair value of the consideration received or receivable, net of estimated returns and an estimate of sales incentives provided to customers. Revenue is recognized when the customer takes ownership of the product, title has transferred, all the risks and rewards of ownership have transferred to the customer, recovery of the consideration is probable, the Company has satisfied its performance obligations under the arrangement, and has no ongoing involvement with the sold product. The value of sales incentives provided to customers are estimated using rates specified in customer arrangements and are recognized at the time of sale as a reduction of revenue. Sales incentives include rebate and promotional programs provided to the Company's customers. These rebates are based on achievement of specified volume or growth in volume levels and other agreed promotional activities. In subsequent periods, the Company monitors the performance of customers against agreed upon obligations related to sales incentive programs and makes any adjustments to both revenue and sales incentive accruals as required.

Except for fresh bread, the Company generally does not accept returns of spoiled products from customers. For product that may not be returned, the Company, in certain cases, provides customers with allowances to cover any damage or spoilage, and such allowances are deducted from sales at the time of revenue recognition. In the case of fresh bread, customer returns are deducted from revenue.

(p) Borrowing Costs

Borrowing costs are primarily comprised of interest on the Company's indebtedness. Borrowing costs are capitalized when they are attributable to the acquisition, construction, or production of a qualifying asset. The Company defines qualifying assets as any asset that requires in excess of six months to prepare for its intended use. Borrowing costs attributable to qualifying assets are calculated using the Company's average borrowing cost excluding the costs associated with the de-recognition of accounts receivable under the securitization program. Borrowing costs that are not attributable to a qualifying asset are expensed in the period in which they are incurred and reported within interest expense in the consolidated statements of earnings.

(q) Government Incentives

Government incentives are not recognized until there is reasonable assurance that they will be received and the Company will be in compliance with any conditions associated with the incentives. Incentives that compensate the Company for expenses or losses are recognized in earnings with the same classification as the related expense or loss in the same periods in which the expenses or losses are recognized.

Government incentives received with the primary condition that the Company should purchase, construct, or otherwise acquire non-current assets are recognized as a deduction from the associated asset on the balance sheet. The incentive is recognized in earnings over the useful life of the asset as a reduction of the related depreciation expense.

Government incentives that are receivable as compensation for expenses or losses already incurred, or for the purpose of giving immediate financial support to the Company with no future related costs, are recognized in earnings in the period in which they become receivable.

The benefit of a government loan at a below-market rate of interest is treated as a government incentive, and is measured as the difference between proceeds received and the fair value of the loan based on prevailing market interest rates.

(r) Income Taxes

Income tax expense is comprised of current and deferred tax. Income tax is recognized in the consolidated statement of earnings, except to the extent that it relates to a business combination, or items recognized directly in equity or in other comprehensive income (loss).

Current tax expense represents the amount of income taxes payable in respect of the taxable profit for the period, based on tax law that is enacted or substantially enacted at the reporting date, and is adjusted for changes in estimates of tax expense recognized in prior periods. A current tax liability or asset is recognized for income tax payable, or paid but recoverable, in respect of all periods to date.

The Company uses the asset and liability method of accounting for income taxes. Accordingly, deferred tax assets and liabilities are recognized for the deferred tax consequences attributable to differences between the financial statement carrying amounts of assets and liabilities and their respective tax bases. Deferred tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on deferred tax assets and liabilities of a change in tax rates is recognized in earnings and comprehensive income in the period in which the enactment or substantive enactment takes place. A deferred tax asset is recognized for unused tax losses, tax credits, and deductible temporary differences, to the extent that it is probable that future taxable income will be available to utilize such amounts. Deferred tax assets are reviewed at each reporting date and are adjusted to the extent that it is no longer probable the related tax benefits will be realized.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

Deferred tax is provided on temporary differences arising on investments in subsidiaries, except where the timing of the reversal of the temporary difference is controlled by the Company and it is probable that the temporary difference will not reverse in the foreseeable future.

(s) Accounting Standards Adopted During the Period

Financial Assets and Liabilities

During the year ended December 31, 2013, the Company adopted certain amendments to IFRS 7 *Financial Instruments: Disclosures* on a retrospective basis. These amendments contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position and subject to master netting arrangements or similar arrangements. As the Company is not offsetting financial instruments and does not have relevant offsetting arrangements, the retrospective adoption of these amendments to IFRS 7 did not have any impact on the disclosures of the Company.

Consolidated Financial Statements

During the year ended December 31, 2013, the Company adopted IFRS 10 *Consolidated Financial Statements* on a retrospective basis. IFRS 10 replaces portions of IAS 27 *Consolidated and Separate Financial Statements* that addresses consolidation, and supersedes SIC-12 *Consolidation – Special Purpose Entities ("SPE")* in its entirety. IFRS 10 provides a single model to be applied in the analysis of control of all investees, including entities that currently are SPEs in the scope of SIC-12. In addition, the consolidation procedures specified in IFRS 10 are carried forward, substantially unmodified, from IAS 27. The adoption of IFRS 10 did not have any impact on the Company's financial statements.

Joint Arrangements

During the year ended December 31, 2013, the Company adopted IFRS 11 *Joint Arrangements*. IFRS 11 supersedes IAS 31 *Interest in Joint Ventures* and SIC-13 *Jointly Controlled Entities – Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures, and provides guidance for financial reporting activities required by the entities that

have an interest in arrangements which are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method. As the Company does not have any joint arrangements, the adoption of IFRS 11 did not have any impact on the Company's financial statements.

Disclosure of Interests in Other Entities

During the year ended December 31, 2013, the Company adopted IFRS 12 *Disclosure of Interests in Other Entities*. IFRS 12 contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates, and unconsolidated structured entities. Additional disclosures required as a result of the adoption of IFRS 12 are included in Note 22.

Fair Value Measurement

During the year ended December 31, 2013, the Company adopted IFRS 13 *Fair Value Measurement* on a prospective basis. IFRS 13 replaces the fair value measurement guidance contained in individual IFRSs with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The adoption of IFRS 13 did not have a material impact on the fair value measurements carried out by the Company. Additional disclosures required as a result of the adoption of IFRS 13 are included in Notes 8, 9, and 16.

Presentation of Financial Statements

During the year ended December 31, 2013, the Company adopted amendments to IAS 1 *Presentation of Financial Statements: Presentation of Items of Other Comprehensive Income* on a retrospective basis. The amendment requires that a company present separately the items of other comprehensive income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. Additional disclosures required as a result of the adoption of IAS 1 are presented in the consolidated statements of comprehensive income and had no impact on the financial results of the Company.

Employee Benefits

During the year ended December 31, 2013, the Company adopted the revised IAS 19 *Employee Benefits* on a retrospective basis with restatement. The revised standard requires that the calculation of expected return on assets and interest cost be replaced with a net interest charge calculated based on the discount rate as at the beginning of the year multiplied by the net position of the plan. The revised standard also requires that administrative fees of the plan be expensed by the Company as incurred rather than included in the expected return. The impact of the adoption of revised IAS 19 is further explained in Note 28 and the required additional disclosures are included in Note 9. The standard also has other amendments clarifying the timing of recognition of termination benefits, the adoption of which had no impact on the Company.

Recoverable Amount Disclosures for Non-Financial Assets

During the year ended December 31, 2013, the Company adopted amendments to IAS 36 *Impairment of Assets* on a retrospective basis. The amendment reverses the unintended requirement in IFRS 13 *Fair Value Measurement* to disclose the recoverable amounts of all cash generating units to which significant goodwill or indefinite-life intangible assets have been allocated. Under the amendments, the recoverable amount is required to be disclosed only when an impairment loss has been recognized or reversed. The adoption of these amendments did not have a material impact to the disclosures made by the Company.

(t) Recent Accounting Pronouncements Not Yet Adopted

Financial Assets and Liabilities

In December 2011, the IASB published amendments to IAS 32 *Financial Instruments: Presentation*. The effective date for the amendments to IAS 32 is annual periods beginning on or after January 1, 2014. These amendments are to be applied retrospectively. The amendments to IAS 32 clarify when an entity has a legally enforceable right to offset, as well as clarify, when a settlement mechanism provides for net settlement or gross settlement that is equivalent to net settlement. The Company intends to adopt the amendments to IAS 32 in its financial statements for the annual period beginning January 1, 2014. The impact of the adoption of amendments to IAS 32 is not expected to be material to the consolidated financial statements.

Levies

In May 2013, the IASB issued IFRIC 21 *Levies*. This IFRIC is effective for annual periods commencing on or after January 1, 2014, and is to be applied retrospectively. The IFRIC is applicable to all levies, other than outflows, that are within the scope of other standards and fines or other penalties for breaches of legislation. The interpretation clarifies that an entity recognises a liability for a levy when the activity that triggers payments, as identified by the relevant legislation, occurs. The Company intends to adopt IFRIC 21 in its financial statements for the annual period beginning January 1, 2014. The Company is currently assessing the impact of the adoption of IFRIC 21.

Employee Benefits

In November 2013, the IASB published amendments to IAS 19 *Employee Benefits*. The effective date for these amendments is annual periods beginning on or after July 1, 2014. These amendments are to be applied retrospectively. IAS 19 requires an entity to consider contributions from employees or third parties when accounting for defined benefit plans. IAS 19 requires such contributions that are linked to service to be attributed to periods of service as a negative benefit. The amendments to IAS 19 provide a practical expedient for simplifying the accounting in certain situations. If the amount of contributions is independent of the number of years of service, an entity is permitted to recognize such contributions as a reduction in the service cost in the period in which the service is rendered, instead of allocating the contributions to the period's service. The Company intends to adopt the amendments to IAS 19 in its financial statements for the annual period beginning January 1, 2015. The extent of the impact of the adoption of amendments to IAS 19 has not yet been determined.

Financial Instruments – Recognition and Measurement

In November 2009, the IASB issued IFRS 9, *Financial Instruments (IFRS 9 (2009))* and in October 2010, the IASB published amendments to IFRS 9 (IFRS 9 (2010)). IFRS 9 (2009) introduces new requirements for the classification and measurement of financial assets. IFRS 9 (2010) introduces additional changes relating to financial liabilities. In November 2013, the IASB published amendments to IFRS 9 *Financial Instruments*, IFRS 7 *Financial Instruments: Disclosures*, and IAS 39 *Financial Instruments: Disclosures* (collectively, "IFRS 9 (2013)") to include a new general hedge accounting model, and allow the adoption of the treatment of fair value changes due to a Company's own credit risk on financial liabilities designated at fair value through profit or loss. Special transitional requirements have been set for the application of the new general hedging model. This amendment removes the January 1, 2015, effective date. The new mandatory effective date is expected to be determined once the classification and measurement and impairment phases of IFRS 9 are finalized. Although no effective date has been issued for this standard, early adoption is permitted. The Company does not intend to adopt IFRS 9 (2009), IFRS 9 (2010) and IFRS 9 (2013) in its financial statements for the annual period beginning on January 1, 2014. Once the IASB has issued an effective date for the standard, the Company will determine a date of adoption. The extent of the impact of adoption of IFRS 9 (2009), IFRS 9 (2010) and IFRS 9 (2013) has not yet been determined.

Novation of Derivatives and Continuation of Hedge Accounting

In June 2013, the IASB issued "Novation of Derivatives and Continuation of Hedge Accounting" (Amendments to IAS 39 *Financial Instruments: Recognition and Measurement*). The amendments add a limited exception to IAS 39, to provide relief from discontinuing an existing hedging relationship when novation that was not contemplated in the original hedging documentation meets specific criteria. The amendments are effective for annual periods beginning on or after January 1, 2014. The Company intends to adopt the amendments in its financial statements for the annual period beginning January 1, 2014. The extent of the impact of the adoption of the amendments has not yet been determined.

Annual Improvements to IFRS (2010 – 2012) and (2011 – 2013) cycles

In December 2013, the IASB issued narrow-scope amendments to a total of nine standards as part of its annual improvements process. Amendments were made to clarify items including the definition of vesting conditions in IFRS 2 *Share-Based Payment,* disclosures on the aggregation of operating segments in IFRS 8 *Operating Segments*, measurement of short-term receivables and payables under IFRS 13 *Fair Value Measurement*, definition of related party in IAS 24 *Related Party Disclosures* and other amendments. Special transitional requirements have been set for certain of these amendments. Most amendments will apply prospectively for annual periods beginning on or after July 1, 2014, earlier application is permitted. The Company intends to adopt these amendments in its financial statements for the annual period beginning January 1, 2015. The extent of the impact of adoption of the amendments has not yet been determined.

4. ACCOUNTS RECEIVABLE

Components of accounts receivable are as follows:

	As at December 31, 2013	As at December 31, 2012	As at January 1, 2012
Trade receivables	**$ 18,851**	$ 34,607	$ 40,032
Less: Allowance for doubtful accounts	**–**	–	(1,914)
Net trade receivables	**$ 18,851**	$ 34,607	$ 38,118
Other receivables	**19,629**	15,858	18,404
	$ 38,480	$ 50,465	$ 56,522

The aging of trade receivables is as follows:

	As at December 31, 2013	As at December 31, 2012	As at January 1, 2012
Current	**$ 17,149**	$ 33,939	$ 37,790
Past due 0-30 days	**1,339**	161	1,338
Past due 31-60 days	**108**	–	287
Past due 61-90 days	**6**	205	371
Past due > 90 days	**249**	302	246
	$ 18,851	$ 34,607	$ 40,032

The Company records an allowance for doubtful accounts that represents its estimate of the risk of uncollectible amounts based on specific losses estimated on individual exposures.

The Company has sold certain of its trade accounts receivable under revolving securitization programs as described in Note 22.

The Company recorded an amount receivable from the securitization facility of $1.0 million on December 31, 2012 (January 1, 2012: $6.7 million payable to the facility), netted against the notes receivable balance. These amounts should not have been presented on a net basis. These balances have been reclassified in the comparative figures. The Company has determined that these amounts were not material to its consolidated financial statements for any prior interim or annual periods.

5. INVENTORIES

	As at December 31, 2013	As at December 31, 2012	As at January 1, 2012
Raw materials	**$ 10,067**	$ 14,506	$ 14,347
Work in process	**67**	69	34
Finished goods	**15,766**	20,403	19,692
Packaging	**7,567**	9,074	9,160
Spare parts	**18,904**	18,714	16,815
	$ 52,371	$ 62,766	$ 60,048

During the year, inventory in the amount of $867.1 million (2012: $894.7 million) was expensed through cost of goods sold. There were no reversals of previous write-downs recognized.

6. ASSETS HELD FOR SALE

Assets held for sale as at December 31, 2013, relate to investment properties that the Company no longer utilizes.

There were no assets held for sale as at December 31 and January 1, 2012.

Certain assets and liabilities of the Olivieri fresh pasta business were transferred to assets held for sale and subsequently sold during the fourth quarter. Details of this transaction are described in Note 20.

7. PROPERTY AND EQUIPMENT

Cost	Land	Buildings	Machinery and equipment	Under construction	Total
Balance at December 31, 2012	**$ 22,094**	**$ 196,076**	**$ 578,184**	**$ 42,506**	**$ 838,860**
Additions	**–**	**–**	**2,621**	**37,955**	**40,576**
Disposal of business *(Note 20)*	**(955)**	**(4,115)**	**(61,091)**	**(696)**	**(66,857)**
Disposals	**(453)**	**(5,216)**	**(20,431)**	**–**	**(26,100)**
Interest capitalized	**–**	**–**	**323**	**–**	**323**
Transfers to investment properties	**(2,701)**	**(9,471)**	**–**	**–**	**(12,172)**
Transfers	**1,284**	**2,339**	**35,052**	**(38,675)**	**–**
Foreign currency translation	**269**	**3,898**	**13,992**	**1,684**	**19,843**
Balance at December 31, 2013	**$ 19,538**	**$ 183,511**	**$ 548,650**	**$ 42,774**	**$ 794,473**
Depreciation and impairment losses					
Balance at December 31, 2012	**$ –**	**$ 58,943**	**$ 369,438**	**$ –**	**$ 428,381**
Depreciation	**–**	**7,037**	**43,941**	**–**	**50,978**
Disposal of business *(Note 20)*	**–**	**(1,867)**	**(41,694)**	**–**	**(43,561)**
Disposals	**–**	**(4,248)**	**(19,255)**	**–**	**(23,503)**
Impairments	**–**	**–**	**2,862**	**–**	**2,862**
Restructuring and other related costs	**–**	**–**	**648**	**–**	**648**
Transfers to investment properties	**–**	**(4,769)**	**–**	**–**	**(4,769)**
Foreign currency translation	**–**	**1,175**	**9,720**	**–**	**10,895**
Balance at December 31, 2013	**$ –**	**$ 56,271**	**$ 365,660**	**$ –**	**$ 421,931**
Net balance, December 31, 2013	**$ 19,538**	**$ 127,240**	**$ 182,990**	**$ 42,774**	**$ 372,542**

Cost	Land	Buildings	Machinery and equipment	Under construction	Total
Balance at January 1, 2012	$ 22,176	$ 195,225	$ 510,154	$ 99,782	$ 827,337
Additions	2,429	19,656	73,181	(53,219)	42,047
Disposals	(1,038)	(3,771)	(24,261)	–	(29,070)
Other	(1,358)	(13,158)	14,450	2,951	2,885
Transfers to investment properties	(100)	(2,080)	–	–	(2,180)
Transfers	–	581	6,465	(7,046)	–
Foreign currency translation	(15)	(377)	(1,805)	38	(2,159)
Balance at December 31, 2012	$ 22,094	$ 196,076	$ 578,184	$ 42,506	$ 838,860
Depreciation and impairment losses					
Balance at January 1, 2012	$ –	$ 58,344	$ 343,049	$ –	$ 401,393
Depreciation	–	5,724	42,375	–	48,099
Disposals		(2,725)	(14,217)	–	(16,942)
Restructuring and other related costs	–	–	(4,872)	–	(4,872)
Other	–	(1,255)	4,665	–	3,410
Transfers to investment properties	–	(966)	–	–	(966)
Foreign currency translation	–	(179)	(1,562)	–	(1,741)
Balance at December 31, 2012	$ –	$ 58,943	$ 369,438	$ –	$ 428,381
Net balance, December 31, 2012	$ 22,094	$ 137,133	$ 208,746	$ 42,506	$ 410,479

8. INVESTMENT PROPERTY

Investment property is comprised of surplus land and buildings primarily resulting from restructuring activities.

During the year, the Company did not generate rental revenue (2012: $nil) from investment properties and recorded operating costs of $2.1 million (2012: $1.5 million) through other income. Impairment losses or reversals of impairment losses on investment property have been recorded through other income.

The fair value of the Company's investment properties was $14.6 million at December 31, 2013, (December 31, 2012: $17.3 million; January 1, 2012: $11.2 million) and is determined using the market comparable approach, which reflects recent transaction prices for similar properties and are categorized as a Level 3 in the fair value hierarchy. In estimating the fair value of the properties, the highest and best use of the properties is typically for either utilization in manufacturing operations or redevelopment, which differs from the current use as idle properties. The difference in use arises as these properties have become surplus land and buildings, primarily resulting from restructuring activities, and are therefore, no longer utilized in the Company's ongoing operations.

In 2013, the Company obtained external appraisals or opinions of value for a total of $nil of the fair value of the Company's investment properties (December 31, 2012: $11.2 million; January 1, 2012: $11.2 million). For other investment properties, the Company determined the fair value based on comparable market information.

The continuity of investment property for the years ended December 31, 2013, and December 31, 2012, is as follows:

Cost	Land	Buildings	Total
Balance at December 31, 2012	**$ 3,671**	**$ 13,036**	**$ 16,707**
Transfers to assets held for sale	**(2,030)**	**(4,757)**	**(6,787)**
Transfers from property and equipment	**2,701**	**9,471**	**12,172**
Disposals	**(100)**	**(2,044)**	**(2,144)**
Foreign currency translation	**87**	**53**	**140**
Balance at December 31, 2013	**$ 4,329**	**$ 15,759**	**$ 20,088**
Accumulated depreciation			
Balance at December 31, 2012	**$ –**	**$ 7,604**	**$ 7,604**
Transfers to assets held for sale	**–**	**(2,415)**	**(2,415)**
Transfers from property and equipment	**–**	**4,769**	**4,769**
Disposals	**–**	**(1,212)**	**(1,212)**
Depreciation	**–**	**148**	**148**
Impairment	**1,124**	**383**	**1,507**
Foreign currency translation	**7**	**46**	**53**
Balance at December 31, 2013	**$ 1,131**	**$ 9,323**	**$ 10,454**
Net balance, December 31, 2013	**$ 3,198**	**$ 6,436**	**$ 9,634**

Cost	Land	Buildings	Total
Balance at January 1, 2012	$ 3,580	$ 11,902	$ 15,482
Transfers from property and equipment	100	2,080	2,180
Disposals	–	(877)	(877)
Foreign currency translation	(9)	(69)	(78)
Balance at December 31, 2012	$ 3,671	$ 13,036	$ 16,707
Accumulated depreciation			
Balance at January 1, 2012	$ –	$ 7,067	$ 7,067
Transfers from property and equipment	–	966	966
Disposals	–	(679)	(679)
Depreciation	–	252	252
Foreign currency translation	–	(2)	(2)
Balance at December 31, 2012	$ –	$ 7,604	$ 7,604
Net balance, December 31, 2012	$ 3,671	$ 5,432	$ 9,103

9. EMPLOYEE BENEFITS

The Company sponsors several defined benefit pension plans for Canadian employees which are final salary plans, career salary plans, or service based plans. These defined benefit plans require contributions to be made to a separately administered fund.

The Canadian plans are governed by the pension laws of the province in which the respective plan is registered.

The Company's pension funding policy is to contribute amounts sufficient, at a minimum, to meet local statutory funding requirements. For the Company's defined benefit pension plans, local regulatory bodies either define minimum funding requirements or approve funding plans submitted by the Company. From time to time the Company may make additional discretionary contributions taking into account actuarial assessments and other factors. The contributions that have been made to support ongoing plan obligations have been recorded in the respective asset or liability accounts in the consolidated balance sheets.

Actuarial valuations for the Company's defined benefit plans are completed based on the regulations in place in the jurisdictions where the plans operate.

Information about the Company's defined benefit plans as at December 31, 2013, in aggregate, is as follows:

	Other post-retirement benefits	**Total pensions**	**2013 Total**	Other post-retirement benefits	Total pension	2012 Total
					(Restated) (Note 28)	*(Restated) (Note 28)*
Accrued benefit obligation:						
Balance, beginning of year	**$ 2,254**	**$ 163,837**	**$ 166,091**	$ 2,113	$ 152,164	$ 154,277
Current service cost	**7**	**4,151**	**4,158**	24	4,058	4,082
Interest cost	**82**	**6,147**	**6,229**	93	6,874	6,967
Benefits paid from plan assets	**–**	**(8,463)**	**(8,463)**	–	(9,283)	(9,283)
Benefits paid directly from the Company	**(111)**	**(292)**	**(403)**	(118)	(399)	(517)
Actuarial (gains) losses – demographic experience	**(640)**	**2,144**	**1,504**	(25)	(2,211)	(2,236)
Actuarial (gains) losses – demographic assumptions	**–**	**–**	**–**	(17)	(2,488)	(2,505)
Actuarial (gains) losses – financial assumptions	**(125)**	**(15,238)**	**(15,363)**	184	14,993	15,177
Employee contributions	**–**	**687**	**687**	–	764	764
Special termination benefits	**–**	**230**	**230**	–	270	270
Curtailments	**–**	**(980)**	**(980)**	–	–	–
Settlements	**–**	**(1,041)**	**(1,041)**	–	(905)	(905)
Balance, end of year	**$ 1,467**	**$ 151,182**	**$ 152,649**	$ 2,254	$ 163,837	$ 166,091
Unfunded	**$ 1,467**	**$ 5,849**	**$ 7,316**	$ 2,254	$ 5,972	$ 8,226
Funded [(i)]	**–**	**145,333**	**145,333**	–	157,865	157,865
Total obligation	**$ 1,467**	**$ 151,182**	**$ 152,649**	$ 2,254	$ 163,837	$ 166,091

[(i)] *Includes wholly and partially funded plans.*

Plan Assets						
Fair value, beginning of year	**$ –**	**$ 110,080**	**$ 110,080**	$ –	$ 103,843	$ 103,843
Interest income	**–**	**4,052**	**4,052**	–	4,661	4,661
Actuarial gains [(ii)]	**–**	**10,835**	**10,835**	–	5,229	5,229
Employer contributions	**–**	**4,782**	**4,782**	–	6,819	6,819
Employee contributions	**–**	**687**	**687**	–	764	764
Benefits paid	**–**	**(8,463)**	**(8,463)**	–	(9,283)	(9,283)
Administrative costs	**–**	**(594)**	**(594)**	–	(771)	(771)
Settlements	**–**	**(1,277)**	**(1,277)**	–	(1,182)	(1,182)
Fair value, end of year	**$ –**	**$ 120,102**	**$ 120,102**	$ –	$ 110,080	$ 110,080
Accrued benefit liability, end of the year	**$ (1,467)**	**$ (31,080)**	**$ (32,547)**	$ (2,254)	$ (53,757)	$ (56,011)

[(ii)] *Return on plan assets greater (less) than discount rate.*

Pension benefit expense recognized in net income:

	2013	2012 (Restated) (Note 28)
Current service cost – defined benefit	**$ 4,151**	$ 4,058
Current service cost – defined contribution and multi-employer plan	**8,925**	8,286
Interest cost	**2,095**	2,213
Administrative costs	**594**	771
Curtailment gain [(i)]	**(980)**	–
Special termination benefits [(i)]	**230**	270
Settlement loss	**236**	277
Net benefit plan expense	**$ 15,251**	$ 15,875

[(i)] *Included in Restructuring and other related costs*

Other post-retirement benefits expense recognized in net income:

	2013	2012
Current service cost	**$ 7**	$ 24
Interest cost	**82**	93
	$ 89	$ 117

During the year, the Company expensed salaries and benefits of $361.1 million (2012: $364.9 million) excluding pension and other post-retirement benefits.

Amounts recognized in other comprehensive income (loss) before income taxes:

	2013	2012 (Restated) (Note 28)
Actuarial gains (losses)	**$ 24,695**	$ (5,207)
	$ 24,695	$ (5,207)

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations and net benefit plan expense are as follows:

	2013	2012
Weighted average discount rate used to calculate the net benefit plan expense	**3.75%**	4.50%
Weighted average discount rate used to calculate year end benefit obligation	**4.50%**	3.75%
Rate of compensation increase	**3.50%**	3.50%
Medical cost trend rates	**5.50%**	6.00%

Plan assets comprise of:

	As at December 31, 2013	As at December 31, 2012	As at January 1, 2012
Equity securities	**62%**	60%	59%
Debt securities	**36%**	37%	38%
Other investments and cash	**2%**	3%	3%
	100%	100%	100%

Of the equity securities 30% are a level 1 on the fair value hierarchy, with the remainder being level 2. All of the debt securities are a level 2.

Information about the sensitivity of the plan obligations to changes in assumptions is presented below:

			Increase (decrease) in defined benefit obligation		
Actuarial Assumption		**Sensitivity**	**Total pensions**	**Other post-retirement benefits**	**Total**
Period end discount rate	4.50%	0.25% decrease	$ 4,902	$ 40	**$ 4,942**
		0.25% increase	$ (4,747)	$ (39)	**$ (4,786)**
Rate of salary increase	3.50%	0.50% increase	$ 340	N/A	**$ 340**
Mortality	UP 94 Generational Mortality Table	Increase of 1 year in expected lifespan of plan participants	$ 4,664	$ 13	**$ 4,677**

Measurement dates:	
2013 expense	December 31, 2012
Balance sheet	December 31, 2013

The average expected maturity of the plan obligations is 13.6 years (December 31, 2012: 13.6 years, January 1, 2012: 13.7 years)

The Company expects to contribute $13.6 million to the pension plans in 2014, inclusive of defined contribution plans and the multi-employer plans.

Governance and Risk Management

The Company administers certain of the plans through its Board of Directors. The Company, through its Board of Directors, has established a governance structure and delegated to its Governance Committee, as well as the Audit Committee and the Maple Leaf Pension Investment Advisory Committee, certain aspects of the investment of the funds. The Company has delegated administrative responsibility to Maple Leaf and Maple Leaf administers the Canada Bread plans under the governance and operational structure established for the Maple Leaf plans.

In fulfilling their responsibilities, the Audit Committee and the Pension Investment Advisory Committee may delegate functions or responsibilities to, or otherwise utilize employees of the Company where appropriate. The Audit Committee and the Pension Investment Advisory Committee may rely on independent experts for certain aspects of the funds' operations. The Audit Committee or the Pension Investment Advisory Committee, as appropriate, retain responsibility and utilize suitable personnel for such activities and monitor the activities undertaken by the selected personnel.

The Supplemental Retirement Plan for the Managers of Multi-Marques Inc. is registered in Québec, Canada, and therefore, operates under the regulations established by the Régis des rentes du Québec. As required by the regulations, the plan is administered by the Multi-Marques Pension Committee and is responsible for all aspects of the operations of the Multi-Marques Plan. The Multi-Marques Pension Committee has delegated certain aspects of its responsibilities and powers, regarding the operations of the Multi-Marques Plan, to the Company.

The plan assets are invested primarily in well diversified pooled funds that meet the constraints set out in tax and pension legislation in the jurisdictions where the plans operate. Further diversification criteria set out in the investment funds' governing documents require the division of investments between equities and fixed income. There are no significant concentrations of risks.

Multi-Employer Plans

The Company contributes to the Canadian Bakery and Confectionary Union and Industry Canada Pension Fund, as well as a U.S. Bakery and Confectionary Union Pension Fund; both of which are multi-employer defined benefit plans for employees who are members of these unions. These are large-scale plans for union workers of multiple companies across Canada and the U.S. Adequate information to account for these contributions as defined benefit plans in the Company's statements is not available due to the size and number of contributing employers in the plans. Included in pension benefit expense is $3.9 million (December 31, 2012: $3.2 million) related to payments into these plans. The Company expects to make contributions of $3.9 million into these plans for the 2014 year. This is included in the total contributions amount above.

10. GOODWILL

	December 31, 2013	December 31, 2012
Cost		
Opening balance	**$ 378,638**	$ 378,743
Disposals *(Note 20)*	**(2,025)**	–
Foreign currency translation	**12,611**	(105)
Balance	**$ 389,224**	$ 378,638
Impairment losses		
Opening balance	**$ (114,395)**	$ (112,730)
Foreign currency translation	**(6,385)**	(1,665)
Balance	**$ (120,780)**	$ (114,395)
Carrying amounts	**$ 268,444**	$ 264,243

For the purposes of annual impairment testing, goodwill is allocated to the following groups of CGUs, which are the groups expected to benefit from the synergies of the business combinations in which the goodwill arose.

	As at December 31, 2013	As at December 31, 2012	As at January 1, 2012
CGU Group			
Canadian fresh bakery	**$ 123,867**	$ 123,867	$ 123,867
North American frozen bakery	**144,577**	138,351	140,121
Fresh pasta [(i)]	**–**	2,025	2,025
	$ 268,444	$ 264,243	$ 266,013

[(i)] *The goodwill relating to Fresh Pasta and sauces business ("Olivieri") was disposed of during the year ended December 31, 2013. Refer to Note 20 for further details.*

The key assumptions used in the calculation of the recoverable amount as at October 1, 2013, and October 1, 2012, were as follows for the significant CGU groups:

	Discount Rate		Growth Rate	
CGU Group	**2013**	2012	**2013**	2012
Canadian Fresh Bakery	**10.6%**	10.7%	**2.3%**	2.2%
North American Frozen Bakery	**9.8%**	8.6%	**2.6%**	2.5%
Fresh Pasta [(i)]	**N/A**	9.1%	**N/A**	2.2%

(i) *The recoverable amount for Fresh Pasta CGU Group was determined based on anticipated net proceeds on disposal. Therefore, determination of discount rate and growth rate for discounting future cash flows was not required for 2013.*

Annual impairment testing involves determining the recoverable amount of each CGU group to which goodwill is allocated, and comparing this to the carrying value of the group. The measure of the recoverable amount of all CGU groups was calculated based on fair value less costs to sell. As there was no market information available, fair value was determined by discounting the future cash flows generated from the continuing use of the group. The calculation of the fair value was based on the following key assumptions:

- Cash flows were projected based on the Company's long-term business plan. Cash flows for a further perpetual period were extrapolated using the growth rate listed above. These rates do not exceed the long-term average growth rate for the countries in which the segments operate.
- The business plan contains forecasts up to, and including, the year 2015 and is based on past experience of actual operating results in conjunction with anticipated future growth opportunities. While the forecast does assume some base business expansion largely related to innovation, the primary engine of growth is strategic in nature and is consistent with the projects and expectations as articulated in the Company's strategic plan.
- Discount rates, as shown in the table above, were applied in determining the recoverable amount of each CGU group. The discount rate was estimated based on past experience and the weighted average cost of capital of the Company and other competitors in the industry.

The values assigned to the key assumptions represent Management's assessment of future trends in the industries in which the CGU groups operate and are based on both external and internal sources and historical trend data.

11. INTANGIBLE ASSETS

	Indefinite life	Finite life		
Cost	**Delivery routes**	**Trademarks**	**Customer relationships**	**Total**
Balance at December 31, 2012	**$ 1,272**	**$ 8,216**	**$ 13,142**	**$ 22,630**
Additions	**2,403**	**–**	**–**	**2,403**
Dispositions	**(2,673)**	**–**	**–**	**(2,673)**
Foreign currency translation	**–**	**4**	**900**	**904**
Balance at December 31, 2013	**$ 1,002**	**$ 8,220**	**$ 14,042**	**$ 23,264**
Amortization and impairment losses				
Balance at December 31, 2012	**$ –**	**$ 7,468**	**$ 3,515**	**$ 10,983**
Amortization	**–**	**567**	**476**	**1,043**
Impairment loss	**–**	**–**	**1,255**	**1,255**
Foreign currency translation	**–**	**–**	**179**	**179**
Balance at December 31, 2013	**$ –**	**$ 8,035**	**$ 5,425**	**$ 13,460**
Net balance, December 31, 2013	**$ 1,002**	**$ 185**	**$ 8,617**	**$ 9,804**

	Indefinite life	Finite life		
Cost	**Delivery routes**	**Trademarks**	**Customer relationships**	**Total**
Balance at January 1, 2012	$ 1,350	$ 8,221	$ 12,948	$ 22,519
Additions	2,490	–	–	2,490
Dispositions	(2,568)	–	–	(2,568)
Foreign currency translation	–	(5)	194	189
Balance at December 31, 2012	$ 1,272	$ 8,216	$ 13,142	$ 22,630
Amortization and impairment losses				
Balance at January 1, 2012	$ –	$ 6,777	$ 3,032	$ 9,809
Amortization	–	691	483	1,174
Balance at December 31, 2012	$ –	$ 7,468	$ 3,515	$ 10,983
Net balance, December 31, 2012	$ 1,272	$ 748	$ 9,627	$ 11,647

Amortization

Amortization is recorded through cost of goods sold or selling, general, and administrative expenses depending on the nature of the asset.

Indefinite Life Intangibles

All indefinite life intangible assets are a part of the Fresh Bakery CGU Group.

The Company performs annual impairment testing on its indefinite life intangible assets. Annual impairment testing, involves determining the recoverable amount of each indefinite life intangible asset, and comparing it to the carrying value. The recoverable values of the Company's indefinite life intangible assets are determined based on discounted projected cash flows.

12. PROVISIONS

	Legal	Environ-mental	Lease make-good	Restructuring and other related costs [i]	Total
Balance at December 31, 2012	**$ 394**	**$ 1,495**	**$ 3,758**	**$ 10,558**	**$ 16,205**
Charges	**–**	**–**	**83**	**19,912**	**19,995**
Reversals	**(43)**	**(103)**	**(1,769)**	**(2,172)**	**(4,087)**
Cash payments	**(29)**	**(70)**	**–**	**(19,520)**	**(19,619)**
Foreign currency translation	**–**	**(6)**	**324**	**193**	**511**
Balance at December 31, 2013	**$ 322**	**$ 1,316**	**$ 2,396**	**$ 8,971**	**$ 13,005**
Current					**$ 7,375**
Non-current					**5,630**
Total at December 31, 2013					**$ 13,005**

	Legal	Environ-mental	Lease make-good	Restructuring and other related costs [i]	Total
Balance at January 1, 2012	$ 119	$ 1,495	$ 3,510	$ 22,947	$ 28,071
Charges	461	–	174	6,356	6,991
Reversals	–	–	–	(863)	(863)
Cash payments	(186)	–	–	(17,852)	(18,038)
Foreign currency translation	–	–	74	(30)	44
Balance at December 31, 2012	$ 394	$ 1,495	$ 3,758	$ 10,558	$ 16,205
Current					$ 9,928
Non-current					6,277
Total at December 31, 2012					$ 16,205

[i] *For additional information on restructuring and other related costs, see the table below.*

The following table provides a summary of provisions recorded in respect of restructuring and other related costs as at December 31, 2013, and December 31, 2012, all on a pre-tax basis:

	Severance	Site closing	Retention	Total
Balance at December 31, 2012	**$ 6,566**	**$ 3,930**	**$ 62**	**$ 10,558**
Charges	**12,536**	**6,699**	**677**	**19,912**
Reversals	**(1,662)**	**(494)**	**(16)**	**(2,172)**
Cash payments	**(13,764)**	**(4,948)**	**(808)**	**(19,520)**
Foreign currency translation	**(323)**	**516**	**–**	**193**
Other	**735**	**(888)**	**153**	**–**
Balance at December 31, 2013	**$ 4,088**	**$ 4,815**	**$ 68**	**$ 8,971**

	Severance	Site closing	Retention	Total
Balance at January 1, 2012	$ 14,975	$ 6,776	$ 1,196	$ 22,947
Charges	1,605	4,155	596	6,356
Reversals	(331)	(379)	(153)	(863)
Cash payments	(10,464)	(6,448)	(940)	(17,852)
Foreign currency translation	–	(30)	–	(30)
Other	781	(144)	(637)	–
Balance at December 31, 2012	$ 6,566	$ 3,930	$ 62	$ 10,558

13. BANK INDEBTEDNESS AND LONG-TERM DEBT

	As at December 31, 2013	As at December 31, 2012	As at January 1, 2012
Bank indebtedness (a)	**$ 4,408**	$ –	$ 3,153
Due to Maple Leaf (b)	**$ –**	$ 1,609	$ 2,364
Southern Ontario Development Program (c)	**1,344**	1,670	1,722
Agri Processing Initiative (d)	**1,581**	–	–
	$ 2,925	$ 3,279	$ 4,086
Less: Current portion	**568**	358	2,452
Long-term debt	**$ 2,357**	$ 2,921	$ 1,634

(a) The Company has a demand uncommitted operating line of credit of £5.0 million ($8.8 million) to provide short-term funding for its U.K. operations. The facility has interest based on LIBOR rates. As at December 31, 2013, a £2.5 million ($4.4 million) balance (December 31, 2012: £nil ($nil); January 1, 2012: £2.0 million ($3.2 million)) was outstanding and has been classified as bank indebtedness.

(b) On January 28, 2012, the Company entered into a new $50.0 million five-year revolving debt facility with Maple Leaf (the Company's controlling shareholder) to provide liquidity for general corporate purposes. The new debt facility replaced the Company's $250.0 million revolving debt facility that was due to mature on June 30, 2012. Both facilities bore interest based on Bankers' Acceptance rates for Canadian dollar loans and LIBOR for U.S. dollar and British pound loans. Both facilities were unsecured and subject to certain financial covenants. The $50.0 million facility was terminated in December 2013.

Interest incurred under these facilities with Maple Leaf was $0.1 million in 2013 (2012: $0.2 million).

(c) During 2010, the Company received a committed government loan of $2.0 million from the Southern Ontario Development Program administered by the Federal Economic Development Agency. The loan is interest free and has monthly repayment requirements from 2012 to 2017. The Company recorded the proceeds of the loan at fair value, which was calculated using a discounted cash flow analysis. The loan is carried at amortized cost on the balance sheet. At December 31, 2013, the fair value of the loan was $1.3 million (December 31, 2012: $1.7 million; January 1, 2012: $1.7 million).

(d) In January 2013, the Company received a committed federal government loan of $2.0 million from the Ministry of Agriculture and Agri-Food. The loan is interest free and has annual repayment requirements from 2013 to 2020. The Company recorded the proceeds of the loan at fair value,

which was calculated using a discounted cash flow analysis. The loan is carried at amortized cost on the balance sheet. At December 31, 2013, the fair value of the loan was $1.6 million.

(e) The Company has uncommitted facilities available on demand of $39.5 million (December 31, 2012: $38.0 million; January 1, 2012: $28.1 million) which include an overdraft operating facility of £5.0 million ($8.8 million) and two operating facilities: (i) one of US$10.0 million ($10.7 million); and (ii) one of $20.0 million, which bear interest at short-term rates. At December 31, 2013, £2.0 million ($3.6 million) was utilized under these facilities (December 31, 2012: £2.1 million ($3.3 million); January 1, 2012: £4.4 million ($6.9 million)). This utilization reduced the Company's cash and cash equivalents.

(f) The Company has a demand uncommitted letter of credit facility of $20.0 million (December 31, 2012: $15.0 million; January 1, 2012: $10.0 million) of which $14.5 million as at December 31, 2013 (December 31, 2012: $11.2 million; January 1, 2012: $9.8 million) was utilized. The facility matures in 2014.

(g) The Company's weighted average cost of borrowing for 2013 was 3.3% (December 31, 2012: 3.7%; January 1, 2012: 3.8%).

Required repayments of long-term debt are as follows:

2014	$ 568
2015	567
2016	591
2017	482
2018	227
Thereafter	490
Total long-term debt	**$ 2,925**

14. CAPITAL AND OTHER COMPONENTS OF EQUITY

Common Shares

At December 31, 2013, there were 25,416,812 shares outstanding, (2012: 25,416,812). There were no share transactions during the year.

The authorized share capital consists of an unlimited number of common shares and 25,000 preference shares. These shares have no par value.

The holders of common shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

Accumulated Other Comprehensive Income (Loss)

	Foreign currency translation adjustments [i]	Unrealized gain (loss) on cash flow hedges [i]	Change in actuarial gains and losses [ii]	Total accumulated other comprehensive income (loss)
Balance at December 31, 2012	**$ (12,723)**	**$ (43)**	**$ –**	**$ (12,766)**
Other comprehensive income	**14,838**	**294**	**18,292**	**33,424**
Transfer to retained earnings	**–**	**–**	**(18,292)**	**(18,292)**
Balance at December 31, 2013	**$ 2,115**	**$ 251**	**$ –**	**$ 2,366**

	Foreign currency translation adjustments [i]	Unrealized gain (loss) on cash flow hedges [i]	Change in actuarial gains and losses [ii]	Total accumulated other comprehensive income (loss)
Balance at January 1, 2012	$ (10,743)	$ 528	$ –	$ (10,215)
Other comprehensive loss	(1,980)	(571)	(3,812)	(6,363)
Transfer to retained earnings	–	–	3,812	3,812
Balance at December 31, 2012	$ (12,723)	$ (43)	$ –	$ (12,766)

[i] *Items that are or may be subsequently reclassified to profit or loss.*

[ii] *Items that will not be reclassified to profit or loss.*

The change in accumulated foreign currency translation adjustments includes tax of $nil for the year ended December 31, 2013 (2012: $nil).

The change in unrealized gain on cash flow hedges includes tax of $0.1 million for the year ended December 31, 2013 (2012: tax recovery of $0.2 million).

The change in actuarial gains and losses includes tax of $6.4 million for the year ended December 31, 2013 (2012: tax recovery of $1.4 million).

The Company estimates that $0.2 million of the unrealized gain included in accumulated other comprehensive income (loss) will be reclassified into net earnings within the next 12 months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the year ended December 31, 2013, a gain of $0.9 million after-tax was released to earnings from accumulated other comprehensive income (loss) and is included in the net change for the period (2012: gain of $0.3 million after-tax).

15. RESTRUCTURING AND OTHER RELATED COSTS

	2013	2012
FRESH BAKERY		
Management structure changes		
Severance	**$ 7,937**	$ 69
Site closing and other costs	**–**	146
Retention	**88**	–
	$ 8,025	$ 215
Bakery closures		
Severance	**$ 2,171**	$ 702
Site closing and other costs	**330**	1,232
Asset impairment and accelerated depreciation	**1,382**	1,869
Retention	**573**	443
Pension	**(414)**	270
	$ 4,042	$ 4,516
FROZEN BAKERY		
Management structure changes		
Severance	**$ 766**	$ –
Bakery closures		
Severance	**$ –**	$ 503
Site closing and other costs	**5,126**	2,398
Asset impairment and accelerated depreciation	**(6)**	3,441
	$ 5,120	$ 6,342
Total restructuring and other related costs	**$ 17,953**	$ 11,073

Negative amounts reflect adjustments to provisions and reversals of previously recorded impairments.

A brief description of the projects is as follows:

Management Structure Changes

The Company has recorded restructuring and other related costs pertaining to organizational delayering and changes to its management structure.

Bakery Closures

During the year ended December 31, 2013, the Company recorded charges in connection with the closure of bakeries in: Grand Falls, New Brunswick; Edmonton, Alberta; Toronto, Ontario; and Shawinigan, Québec.

During the year ended December 31, 2012, the Company recorded charges in connection with the closure of two bakeries in the U.K.; two bakeries in Toronto, Ontario; and a bakery in Delta, British Columbia. Additionally, the Company recorded charges related to other restructuring initiatives, including the closure of two distribution centres in Québec.

Impairment

During the year ended December 31, 2013, the Company recorded $0.1 million (December 31, 2012: $0.4 million) of impairment of fixed assets through restructuring and other related costs.

During the years ended December 31, 2013 and 2012, the Company recorded no reversals of impairment through restructuring and other related costs.

16. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

Capital

The Company's objective is to maintain a cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. In allocating capital to investments to support its earnings goals, the Company establishes internal hurdle return rates for capital initiatives. Capital projects are generally financed with senior debt and internal cash flows.

The Company measures its credit profile using a number of metrics, some of which are non-IFRS measures, primarily net debt to adjusted earnings before interest, tax, depreciation, and amortization ("Adjusted EBITDA") and Adjusted EBITDA to interest expense.

The Company's goal is to maintain its primary credit ratios and leverage at levels that are designed to provide continued access to investment grade credit pricing and terms. On June 28, 2012, the Company entered into a new five-year $50.0 million revolving credit facility with Maple Leaf. The new credit facility

replaced the Company's $250.0 million revolving credit facility that was due to mature on June 30, 2012. This facility was terminated during December 2013. In addition to senior debt and equity, the Company uses leases and limited recourse accounts receivable securitization programs as additional sources of financing. The Company also has credit available from various other facilities as described in Note 13.

The Company has maintained a dividend distribution that is based on a sustainable net earnings base. During the fourth quarter of 2013, the Company declared a special dividend of an additional $8.00 per share, which is payable in January 2014.

Financial Instruments

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Held for trading
Accounts receivable	Loans and receivables
Notes receivable	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued liabilities	Other financial liabilities
Due to Maple Leaf Foods	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments [i]	Held for trading

[i] *These derivative instruments may be designated as cash flow hedges or as fair value hedges as appropriate.*

The fair values and notional amounts of derivative financial instruments at December 31 are shown below:

	2013			2012		
	Notional amount [i]	Fair value		Notional amount [i]	Fair value	
		Asset	Liability		Asset	Liability
Cash flow hedges						
Foreign exchange forward contracts [ii]	**$ 30,298**	**$ 335**	**$ –**	$ 11,263	$ –	$ 63
Derivatives not designated in a formal hedging relationship						
Foreign exchange forward contracts [ii]	**$ 17,965**	**$ –**	**$ 268**	$ 45,440	$ 39	$ –
Current	**$ –**	**$ 335**	**$ 268**	$ –	$ 39	$ 63
Non-current	**–**	**–**	**–**	–	–	–
Total	**$ –**	**$ 335**	**$ 268**	$ –	$ 39	$ 63

[i] *Notional amounts are stated at the contractual Canadian dollar equivalent.*
[ii] *This amount relates to related party foreign exchange contracts with Maple Leaf.*

The fair value of financial assets classified as loans and receivables and financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature. Financial assets and liabilities designated as held for trading are recorded at fair value. The carrying value of long-term debt as at December 31, 2013 is $2.9 million (2012: $3.3 million), which approximates fair value.

The fair value of the Company's long-term debt was estimated based on discounted future cash flows using current rates for similar financial instruments subject to similar risks and maturities. The fair values of the Company's interest rate and foreign exchange derivative financial instruments were estimated using current market measures for interest rates and foreign exchange rates. Commodity futures are exchange-traded and fair value was determined based on exchange prices.

For the years ended December 31, 2013 and 2012, the amount of hedge ineffectiveness recognized in earnings was nominal.

The table below sets out fair value measurements of financial instruments using the fair value hierarchy:

	Level 1	Level 2	Level 3	Total
Assets:				
Foreign exchange forward contracts	$ –	$ 335	$ –	$ 335
	$ –	**$ 335**	**$ –**	**$ 335**
Liabilities:				
Foreign exchange forward contracts	$ –	$ 268	$ –	$ 268
	$ –	**$ 268**	**$ –**	**$ 268**

There were no transfers between levels during the years ended December 31, 2013 and 2012. Determination of fair value and the resulting hierarchy requires the use of observable market data whenever available. The classification of a financial instrument in the hierarchy is based upon the lowest level of input that is significant to the measurement of fair value. For financial instruments that are recognized at fair value on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization at the end of each reporting period.

The risks associated with the Company's financial instruments and policies for managing these risks are detailed below.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers or other counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other receivables in order to mitigate any possible credit losses. As at December 31, 2013, approximately $0.3 million (December 31, 2012: $0.5 million; January 1, 2012: $0.6 million) of the Company's accounts receivable were greater than 60 days past due. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. This allowance includes a provision related to specific losses estimated on individually significant exposures. As at December 31, 2013, the Company has recorded an allowance for doubtful accounts of $nil (December 31, 2012: $nil; January 1, 2012: $1.9 million). Average accounts receivable days sales outstanding for the year is consistent with historic trends. There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts. The Company believes that the allowance for doubtful accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the generally high credit quality of the Company's major customers, and the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The Company's two largest customers comprise approximately 26.6% (2012: 30.4%) of consolidated sales.

The Company is exposed to credit risk on its notes receivable from a financial institution that holds an equity interest in an unconsolidated structured entity as described in Note 22. Management believes that this credit risk is limited due to the long-term AA- debt rating held by this counterparty.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non-exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of A or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non-exchange-traded derivatives with positive fair values.

Liquidity Risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The contractual undiscounted principal cash flows payable in respect of financial liabilities as at the balance sheet date are as follows:

	December 31, 2013				
	Due within 1 year	Due between 1 and 2 years	Due between 2 and 3 years	Due after 3 years	Total
Non-derivative financial liabilities					
Accounts payable and accruals	$ 204,422	$ –	$ –	$ –	$ 204,422
Due to Maple Leaf Foods Inc.	4,036	–	–	–	4,036
Dividends payable	216,042	–	–	–	216,042
Long-term debt [(i)]	568	567	591	1,199	2,925
Other	100	1,782	153	50	2,085
Total	**$ 425,168**	**$ 2,349**	**$ 744**	**$ 1,249**	**$ 429,510**

[(i)] *Does not include contractual interest payments.*

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities, and managing the maturity profiles of financial assets and financial liabilities to minimize refinancing risk.

As at December 31, 2013, the Company had available undrawn credit of $45.9 million (December 31, 2012: $94.9 million; January 1, 2012: $273.8 million) under the terms of its various credit facilities. Details of these facilities are provided in Note 13.

Market Risk

Interest Rate Risk

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company's interest rate risk arises from variable rate borrowings that create cash flow interest rate risk.

At December 31, 2013, the Company had variable rate debt of $4.4 million (December 31, 2012: $1.6 million; January 1, 2012: $5.5 million) with a weighted average interest rate of 2.5% (December 31, 2012: 1.5%; January 1, 2012: 2.2%). In addition, the Company is exposed to floating interest rates on its accounts receivable securitization programs. As at December 31, 2013, the amount of cash received pursuant to this program was $53.8 million (December 31, 2012: $51.3 million; January 1, 2012: $45.3 million) at a weighted average interest rate of 2.1% (December 31, 2012: 2.0%; January 1, 2012: 2.1%). The maximum amount available to the Company under this program is $60.0 million.

It is estimated that, all else constant, a one percentage point change in interest rates would not materially impact net earnings.

The Company manages its interest rate risk exposure by using a mix of fixed and variable rate debt and periodically using interest rate derivatives to achieve the desired proportion of variable to fixed-rate debt.

As at December 31, 2013, 95.2% (December 31, 2012: 96.9%; January 1, 2012: 96.7%) of the Company's outstanding debt and revolving accounts receivable securitization program was exposed to interest rate movements.

Foreign Exchange Risk

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars and investments in foreign operations.

The Company uses foreign exchange forward contracts to manage foreign exchange transaction exposures. The primary currency to which the Company is exposed is the U.S. dollar. Qualifying foreign currency forward contracts are accounted for as cash flow hedges.

It is estimated that, all else constant, an adverse hypothetical 10.0% change in the value of the Canadian dollar against all relevant currencies would result in a change in the fair value of the Company's foreign exchange forward contracts of $2.3 million ($1.7 million after-tax) with a gain in net earnings of $0.7 million ($0.5 million after-tax) and a loss in other comprehensive income (loss) of $3.0 million ($2.3 million after-tax).

Commodity Price Risk

The Company is exposed to price risk related to purchases of wheat and other agricultural commodities used as raw materials. The Company may use fixed price contracts with suppliers and exchange-traded futures and options to manage its exposure to price fluctuations.

17. OTHER INCOME (EXPENSE)

	2013	2012
Gain on sale of property and equipment	**$ 1,806**	$ 478
Impairment of assets	**(5,624)**	–
Gain on sale of investment properties	**11,433**	–
Legal settlements	**–**	1,400
Net investment property expenses	**(2,096)**	(1,454)
Other	**735**	1,211
	$ 6,254	$ 1,635

Impairments

Impairment recorded by the Company related to the following:

	2013	2012
Property and equipment	**$ 2,862**	$ –
Investment properties	**1,507**	–
Intangibles	**1,255**	–
Total	**$ 5,624**	$ –

18. INTEREST EXPENSE

	2013	2012
Interest expense on securitized receivables	**$ 1,023**	$ 993
Amortization of deferred finance charge	**205**	233
Interest expense on long-term debt	**159**	84
Other interest charges (income)	**(94)**	252
Interest capitalized	**(323)**	–
	$ 970	$ 1,562

19. INCOME TAXES

The components of income tax expense related to continuing operations were as follows:

	2013	2012
		(Restated) (Note 28)
Current tax expense		
Current year	**$ 20,220**	$ 27,645
Adjustment for prior periods	**(144)**	58
	$ 20,076	$ 27,703
Deferred tax expense		
Origination and reversal of temporary differences	**$ 8,272**	$ 3,218
Change in tax rates	**1,057**	257
	$ 9,329	$ 3,475
Total income tax expense	**$ 29,405**	$ 31,178

Reconciliation of Effective Tax Rate

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income tax rates as a result of the following:

	2013	2012
		(Restated) (Note 28)
Income tax expense according to combined statutory rate of 26.5% (2012: 26.4%)	**$ 30,314**	$ 28,194
Increase (decrease) in income tax resulting from:		
Deferred tax expense relating to changes in tax rates	**1,057**	257
Non-taxable portion of capital gains	**(2,790)**	–
Tax rate differences in other jurisdictions	**(433)**	(492)
Manufacturing and processing credit	**(743)**	(743)
Non-deductible expenses	**396**	161
Unrecognized income tax benefit of losses	**864**	3,006
Other	**740**	795
	$ 29,405	$ 31,178

Income Tax Recognized in Other Comprehensive Income

	2013	2012
		(Restated) (Note 28)
Pension adjustments	**$ 6,403**	$ (1,396)
Foreign exchange forward contracts	**113**	(217)
	$ 6,516	$ (1,613)

Deferred Tax Assets and Liabilities

Recognized Deferred Tax Assets and Liabilities

Deferred tax assets and liabilities are attributable to the following:

	As at December 31, 2013	As at December 31, 2012	As at January 1, 2012
Deferred tax assets:			
Tax losses carried forward	**$ 10,784**	$ 22,484	$ 19,423
Employee benefits	**8,718**	14,682	12,870
Accrued liabilities	**1,543**	2,527	6,183
Other	**–**	229	118
	$ 21,045	$ 39,922	$ 38,594
Deferred tax liabilities:			
Property and equipment	**$ 26,210**	$ 21,657	$ 22,683
Goodwill and other intangible assets	**21,028**	18,117	17,019
Other	**1,543**	2,272	2,759
	$ 48,781	$ 42,046	$ 42,461
Classified in the consolidated financial statements as:			
Deferred tax asset: non-current	**$ 9,218**	$ 17,874	$ 17,917
Deferred tax liability: non-current	**(36,954)**	(19,998)	(21,784)
	$ (27,736)	$ (2,124)	$ (3,867)

Recognized Deferred Tax Assets

The Company has recognized deferred tax assets in the amount of approximately $10.8 million (December 31, 2012: $22.5 million; January 1, 2012: $19.4 million), relating primarily to tax losses carried forward by subsidiaries in the U.K. and Canada. These deferred tax assets are based on the Company's estimate that the relevant subsidiaries will earn sufficient taxable profits to fully utilize these tax losses in the appropriate carry over periods.

Unrecognized Deferred Tax Assets

The Company has unrecognized deferred tax assets in the amount of approximately $39.0 million (December 31, 2012: $37.1 million; January 1, 2012: $34.8 million), relating primarily to tax losses carried forward in the U.S. and in Canada. These tax losses carried forward consist primarily of net operating losses ("NOLs") relating to a U.S. subsidiary and capital losses of the Company. The amount of NOLs is approximately $105.9 million (December 31, 2012: $102.1 million; January 1, 2012: $98.6 million). These NOLs expire in the years from 2023 to 2032. The capital loss of the Company is approximately $39.6 million (December 31, 2012: $50.0 million; January 1, 2012: $50.0 million). This capital loss does not expire.

Unrecognized Deferred Tax Liabilities

Deferred tax is not recognized on the unremitted earnings of subsidiaries and other investments as the Company is in a position to control the reversal of the temporary difference and it is probable that such differences will not reverse in the foreseeable future. The unrecognized temporary difference for the Company's subsidiaries at December 31, 2013, is $126.8 million (December 31, 2012: $110.7 million; January 1, 2012: $116.9 million).

20. DISCONTINUED OPERATIONS

On November 25, 2013, the Company sold substantially all of the net assets of its Olivieri fresh pasta and sauce business ("Olivieri"), a component of the Fresh Bakery Products Group, to Catelli Foods Corporation for net proceeds of $116.3 million.

The results of the Olivieri operations are presented below:

Years ended December 31,	2013	2012
Sales	**$ 78,407**	$ 88,631
Cost of goods sold	**64,749**	77,856
Gross margin	**$ 13,658**	$ 10,775
Selling, general, and administrative expenses	**14,235**	16,219
Operating Earnings before the following:	**$ (577)**	$ (5,444)
Gain on disposal of discontinued operation	**84,042**	–
Earnings before interest and income taxes from discontinued operations	**$ 83,465**	$ (5,444)
Interest income	**–**	(15)
Earnings before income taxes from discontinued operations	**$ 83,465**	$ (5,429)
Income taxes	**10,952**	(1,395)
Net earnings from discontinued operations	**$ 72,513**	$ (4,034)
Earnings per share from discontinued operations *(Note 21)*		
Basic and diluted earnings per share from discontinued operations	**$ 2.85**	$ (0.16)
Weighted average number of shares (millions)	**25.4**	25.4

There are no amounts included in comprehensive income relating to the disposal group for the years ended December 31, 2013 and 2012.

In order to accurately represent the continuing and discontinuing operations sales and cost of goods sold, certain intercompany eliminations have been reversed in the amounts presented above and in the statement of earnings (loss) for all periods presented.

The net cash flows provided by (used in) the Olivieri operations for the year ended December 31, 2013, are as follows:

Years ended December 31,	2013	2012
Operating	**$ 1,982**	$ 1,355
Financing	**–**	–
Investing	**115,679**	(5,694)
Net cash flows	**$ 117,661**	$ (4,339)

21. EARNINGS PER SHARE

The following table provides the calculation of basic and diluted earnings (loss) per share ("EPS"):

	2013			2012 [ii]		
Year ended December 31,	**Net earnings (loss)**	**Weighted average number of shares [i]**	**EPS**	Net earnings (loss)	Weighted average number of shares [i]	EPS
Basic and diluted						
Continuing operations	**$ 85,043**	**25.4**	**$ 3.35**	$ 75,514	25.4	$ 2.97
Discontinued operations	**72,513**	**25.4**	**2.85**	(4,034)	25.4	(0.16)
	$ 157,556	**25.4**	**$ 6.20**	$ 71,480	25.4	$ 2.81

[i] *In millions*

[ii] *Restated, see Note 20 and Note 28*

22. COMPOSITION OF THE COMPANY

Subsidiaries

The consolidated financial statements of the Company include the following material wholly owned subsidiaries:

Name	Country of Incorporation	Principal activities
Canada Bread Frozen Bakery Ltd.	Canada	Frozen par-baked bread
1864713 Ontario Inc.[i]	Canada	Discontinued operation
Maple Leaf Bakery Inc.	United States	Frozen par-baked bread
Maple Leaf Bakery UK Limited	United Kingdom	Specialty baked goods

[i] *During 2013, the Company sold substantially all of the net assets of Olivieri Foods Limited and subsequently changed the name of the corporation to 1864713 Ontario Inc. Refer to Note 20 for further details.*

Unconsolidated Structured Entity

The Company has sold certain of its trade accounts receivable to an unconsolidated structured entity owned by a financial institution, under revolving securitization programs. The Company retains servicing responsibilities for these receivables. The structured entity finances the purchase of these receivables by issuing senior debt instruments to the financial institution, short-term mezzanine notes back to the Company, and an equity interest held by the financial institution.

At December 31, 2013, trade accounts receivable being serviced under these programs amounted to $59.3 million (December 31, 2012: $95.3 million; January 1, 2012: $91.1 million). In return for the sale of its trade receivables, the Company will receive cash of $23.3 million (December 31, 2012: $52.3 million; January 1, 2012: $38.5 million) and notes receivable in the amount of $36.0 million (December 31, 2012: $43.0 million; January 1, 2012: 52.6 million). The notes receivable are non-interest bearing and are adjusted on the settlement dates of the securitized accounts receivable. Due to timing of receipts and disbursements, the Company may, from time to time, also record a receivable or payable related to the securitization facility. As at December 31, 2013, the Company recorded a net payable amounting to $30.5 million (December 31, 2012: $1.0 million receivable; January 1, 2012: $6.7 million net payable) in accounts payable and accruals.

The Company's maximum exposure to loss, due to its involvement with a structured entity, is equal to the current carrying value of the interest in the notes receivable due from the structured entity. The maximum potential loss that could be borne by subordinated interests in the structured entity is a $1.0 million equity interest (December 31, 2012: $0.2 million; January 1, 2012: $0.2 million).

The Company has not recognized any income or losses associated with its interest in an unconsolidated structured entity for the years ended December 31, 2013 or 2012.

During the year, the securitization agreements were renewed with substantially the same terms and conditions, with an expiry date of September 2016.

23. COMMITMENTS AND CONTINGENCIES

(a) In the normal course of business, the Company and its subsidiaries enter into sales commitments with customers, and purchase commitments with suppliers. These commitments are for varying terms and can provide for fixed or variable prices.

(b) The Company has been named as defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(c) The Company has operating lease, rent, and other commitments that require minimum annual payments as follows:

2014	$ 15,435
2015	11,267
2016	7,393
2017	4,378
2018	2,643
Thereafter	6,436
	$ 47,552

During the year ended December 31, 2013 an amount of $20.2 million was recognized as an expense in earnings in respect of operating leases (2012: $22.3 million).

24. RELATED PARTY TRANSACTIONS

Services provided to the Company by Maple Leaf under the terms of a management services agreement include, but are not limited to, treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources, and computer systems support. In addition, Maple Leaf provides senior management time for operating involvement. Fees paid by the Company for these services are based on the actual cost of providing such services and are allocated based on either activity drivers, or where not practicable to isolate such drivers, the proportion of assets employed to the total assets in the business unit, which is consistent with the allocation of such costs to other business units of Maple Leaf.

During the year ended December 31, 2012, the Company signed a new management service agreement, with substantially similar terms and conditions to the prior arrangement.

Fees paid to Maple Leaf in 2013 for these services were $51.0 million (2012: $49.3 million). At December 31, 2013, the total outstanding balance payable to Maple Leaf was $4.0 million (December 31, 2012: $4.8 million; January 1, 2012: $2.5 million).

In addition to the management services agreement, the Company also is charged for the cost of certain direct services provided by Maple Leaf. This includes, but is not limited to, direct sales, supply chain management, order management, warehousing, and transportation services. These services are charged based upon time-based allocations. The occupancy costs and related direct expenses of any Company employees located at a Maple Leaf location are charged to the Company on a monthly basis based upon the proportion of the total square footage occupied by the Company.

As at December 31, 2012, the Company has a $50.0 million revolving debt facility with Maple Leaf to provide longer-term funding and surplus liquidity. This facility, described further in Note 13, was terminated in December 2013.

The Company also has foreign exchange contracts with Maple Leaf as described in Note 16.

The Company sponsors a number of post retirement benefit plans as described in Note 9. The Company's contributions to these plans were $10.2 million in 2013 (2012: $12.4 million).

Key management personnel are those persons having authority and responsibility for planning, directing, and controlling the activities of the Company, directly or indirectly, including any external directors of the Company. Key management personnel compensation includes amounts paid to Maple Leaf through the intercompany management services agreement.

Remuneration of key management personnel of the Company is comprised of the following expenses:

	2013	2012
Short-term employee benefits		
Salaries, bonuses, and fees	**$ 5,027**	$ 5,446
Company car allowance	**167**	187
Other benefits	**412**	416
Total short-term employee benefits	**$ 5,606**	$ 6,049
Post-employment benefits	**442**	560
Share based benefits [(i)]	**3,144**	6,336
Total remuneration	**$ 9,192**	$ 12,945

(i) *The share-based benefits were granted by Maple Leaf with the associated costs included in the overall management fee paid to Maple Leaf.*

During 2013, key management personnel of the Company exercised 16,800 (2012: none) share options granted under Maple Leaf Foods Share Incentive Plan for an amount of $0.2 million (2012: $nil).

25. GOVERNMENT INCENTIVES

During the year ended December 31, 2013, the Company recorded no government incentives (2012: $0.2 million).

Additionally, during the year ended December 31, 2013, the Company recorded a $2.0 million interest-free loan from the Canadian government related to the purchase of equipment for its recently commissioned bakery in Hamilton, Ontario. The loan is repayable over a period of seven years.

26. SEGMENTED FINANCIAL INFORMATION

Reportable Segmented Information

The Company has two reportable segments, as described below, which are groupings of the Company's CGUs. These segments offer different products, have separate management structures, and have their own marketing strategies and brands. The Company's Management regularly reviews internal reports for these segments. The following describes the operations of each segment:

(a) Fresh Bakery is comprised of fresh bakery products, sweet goods, and specialty fresh pasta and sauces. The fresh pasta and sauce business was sold during the year and has been classified as discontinued operations for the year ended December 31, 2013. Refer to Note 20 for further details. The Company also exited the artisan and sweet goods categories during 2013.

(b) Frozen Bakery is comprised of North American and U.K. frozen bakery products including frozen par-baked and speciality bakery products.

Non-allocated costs is comprised of expenses not separately identifiable to business segment groups and are not part of measures used by the Company when assessing the segment's operating results.

Non-allocated assets is comprised of corporate assets not separately identifiable to business segment groups. These include, but are not limited to, corporate property and equipment, investment properties, and tax balances.

	2013	2012
		Restated (Note 20, 28)
Sales		
Fresh Bakery [(i)]	**$ 1,018,450**	$ 1,060,301
Frozen Bakery	**513,543**	507,573
Total sales	**$ 1,531,993**	$ 1,567,874
Sales from discontinued operations *(Note 20)*	**(78,407)**	(88,631)
Sales from continuing operations	**$ 1,453,586**	$ 1,479,243
Earnings before restructuring and other related costs and other income		
Fresh Bakery [(i)]	**$ 88,080**	$ 88,455
Frozen Bakery	**38,460**	23,793
Earnings before restructuring and other related costs and other income	**$ 126,540**	$ 112,248
Loss before restructuring and other related costs and other income from discontinued operations *(Note 20)*	**577**	5,444
Earnings before restructuring and other related costs and other income from continuing operations	**$ 127,117**	$ 117,692
Capital expenditures		
Fresh Bakery [(i)]	**$ 16,707**	$ 32,695
Frozen Bakery	**26,272**	11,842
	$ 42,979	$ 44,537
Depreciation and amortization		
Fresh Bakery [(i)]	**$ 32,928**	$ 30,848
Frozen Bakery	**19,241**	18,677
	$ 52,169	$ 49,525

[(i)] *The results from discontinued operations from the fresh pasta and sauces businesses were included in the total results of the Fresh Bakery Products Group.*

	As at December 31, 2013	As at December 31, 2012	As at January 1, 2012
Total assets			
Fresh Bakery [(i)]	**$ 427,722**	$ 504,062	$ 522,236
Frozen Bakery	**329,631**	356,311	369,523
Non-allocated assets	**381,295**	109,618	79,456
	$ 1,138,648	$ 969,991	$ 971,215
Goodwill			
Fresh Bakery [(i)]	**$ 123,867**	$ 125,892	$ 125,892
Frozen Bakery	**144,577**	138,351	140,121
	$ 268,444	$ 264,243	$ 266,013

(i) The prior year results from the Bakery Products Group include assets and goodwill from the Fresh Pasta and Sauces business.

Information About Geographic Areas

Property, equipment, and investment property located outside Canada for December 31, 2013, totalled $112.6 million (December 31, 2012: $98.3 million; January 1, 2012: $105.7 million). Of this amount, $57.6 million (December 31, 2012: $59.1 million; January 1, 2012: $65.0 million) was located in the U.S. and $55.0 million (December 31, 2012: $39.2 million; January 1, 2012: $40.7 million) was located in the U.K.

Goodwill attributed to operations located outside Canada for December 31, 2013, was $91.1 million (December 31, 2012: $84.9 million; January 1, 2012: $86.7 million), all of which is attributed to operations in the U.S.

Revenues earned outside Canada for the year ended December 31, 2013, were $365.9 million (2012: $375.0 million). Of this amount, $227.7 million (2012: $230.4 million) was earned in the U.S. and $137.9 million (2012: $128.8 million) was earned in the U.K. Revenue by geographic area is determined by the shipping location.

Information About Major Customers

During the year, the Company reported sales to two customers each representing greater than 10% of total sales. Sales to one customer represented 16.2% (2012: 18.3%) of total sales, while sales to the second customer represented 10.4% (2012: 12.1%) of total sales. Sales to each customer are reported in both the Fresh Bakery and Frozen Bakery segments.

27. SUBSEQUENT EVENTS

On February 12, 2014, the Company announced that Grupo Bimbo, S.A.B. de C.V. of Mexico ("Grupo Bimbo") had agreed to acquire all of the issued and outstanding common shares of the Company by way of a statutory arrangement under the *Business Corporations Act* (Ontario) (the "Arrangement"). Under the terms of the Arrangement, Grupo Bimbo has agreed to acquire from common shareholders of the Company each common share for $72.00 per share in cash or $1.83 billion in aggregate pursuant to the terms of an arrangement agreement dated February 11, 2014 between the Company and Grupo Bimbo (the "Arrangement Agreement"). The Arrangement will require the approval of at least 66⅔% of the votes cast by the shareholders of Canada Bread at a special meeting of shareholders expected to take place in early April 2014. Maple Leaf has entered into a voting support agreement with Grupo Bimbo pursuant to which Maple Leaf has agreed to vote all of its common shares of Canada Bread in favour of the Arrangement at such meeting. The Arrangement is also subject to receipt of court approval, regulatory approvals, and other customary closing conditions. The transaction is expected to close in the second quarter of 2014.

On February 19, 2014, the company sold an investment property located in the Toronto area, which was classified as an asset held for sale in the year end consolidated financial statements, for gross proceeds of $6.4 million.

28. IMPACT OF ADOPTION OF NEW ACCOUNTING STANDARDS DURING THE PERIOD

Beginning January 1, 2013, the Company adopted the revised IAS 19 *Employee Benefits*, on a retrospective basis with restatement. Under revised IAS 19, the Company is required to calculate the expected return on assets of the pension plan and its related interest costs based on the current discount rate multiplied by the net position of the plan. The revised standard also requires that administrative fees of the plan be expensed by the Company as incurred rather than included in the expected return.

The impact of the adoption of revised IAS 19 for the year is a decrease in total earnings before tax of $3.9 million (2012: $3.6 million) and $2.9 million after-tax (2012: $2.7 million after-tax).

The impact of adoption is as follows:

Impact on Consolidated Statement of Earnings (Loss)

Year ended December 31,	2013	2012
Selling, general and administrative expenses	**$ 3,875**	$ 3,620
Income taxes	**(992)**	(900)
Net earnings [(i)]	**(2,883)**	(2,720)
Decrease in earnings per share attributable to common shareholders		
Basic and diluted earnings per share	**$ (0.11)**	$ (0.11)
Weighted average number of shares (millions)	**25.4**	25.4

(i) Increase of selling, general, and administrative expenses includes a total of $3.3 million increase (2012: $2.8 million) in pension expenses and $0.6 million increase (2012: $0.8 million) in pension administrative fees during the year due to adoption of revised IAS 19.

Impact on Consolidated Statements of Comprehensive Income (Loss)

Years ended December 31,	2013	2012
Net earnings	**$ (2,883)**	$ (2,720)
Change in actuarial gains and losses	**2,883**	2,720
Comprehensive income (loss)	**$ –**	$ –

The adoption of revised IAS 19 did not have an impact on the Company's consolidated balance sheets, consolidated statement of changes in total equity, and consolidated statements of cash flows for 2013 and 2012.

The following is a reconciliation of the 2012 restatement:

Years ended December 31, 2012	As previously reported	Discontinued Operations[i]	Impact of IAS 19R	**As restated**
		(Note 20)		
Selling, general and administrative expenses	$ 195,672	$ (16,219)	$ 3,620	**$ 183,073**
Income taxes	30,683	1,395	(900)	**31,178**
Net earnings	74,200	4,034	(2,720)	**75,514**
Earnings per share attributable to common shareholders				
Basic and diluted earnings per share	$ 2.92	$ –	$ (0.11)	**$ 2.81**
Weighted average number of shares (millions)	25.4	–	–	**25.4**

[i] *The adoption of revised IAS 19 did not have any impact on the net earnings from discontinued operations for the year ended December 31, 2012. Included in discontinued operations is a net loss of $4.0 million and income tax recoveries of $1.4 million.*

Consolidated Statements of Comprehensive Income (Loss)

Years ended December 31, 2012	As previously reported	Impact of IAS 19R	**As restated**
Net earnings	$ 74,200	$ (2,720)	**$ 71,480**
Change in actuarial loss	(6,532)	2,720	**(3,812)**
Comprehensive income (loss)	65,117	–	**65,117**



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